

details and timelines explanation on the handling of their individual requests. The rare times that disputes occur, the GSA FOIA Requester Service Center and FOIA Public Liaison step right in to work on resolving disputes.

GSA has continued to improve in this area by taking a proactive approach to reaching out to the requester very early in the FOIA process. GSA is working proactively to reduce and mitigate potential disputes. By thoroughly explaining the FOIA process; working with the requesters to help craft and modify the scope of the request to pin down exactly what the requester is specifically looking for; explaining the fees assessed, and how the agency will work with them to get that information to them proves to be extremely helpful to the general public.

If your agency has not taken any steps recently to strengthen these services, either because there has been no need to due to low demand or because these services are already robust, please briefly explain that that here.

Not Applicable.

Other Initiatives:

6. If there are any other steps your agency has undertaken to ensure that your FOIA system operates efficiently and effectively, such as conducting self-assessments to find greater efficiencies, improving search processes, eliminating redundancy, etc., please describe them here.

Fiscal Year 2015 was the first full year of GSA FOIA process operation with the FOIAOnline system. The GSA FOIA Requester Center continued reviewing the FOIA process to eliminate redundancies and inefficiencies. In addition, the GSA FOIA professionals partnered with the GSA Office of the Chief Information Officer and Office of General Counsel to continue development and implementation of more innovative technological solutions to increase the accuracy and timeliness of e-discovery data pulls. These implemented measures have increased our FOIA process efficiency, decreased duplication and redundancy and increased customer satisfaction with GSA FOIA requesters.

Section III: Steps Taken to Increase Proactive Disclosures

Both the **President's** and **Attorney General's** FOIA memoranda focused on the need for agencies to work proactively to post information online without waiting for individual requests to be received.

Please answer the following questions to describe the steps your agency has taken to increase the amount of material that is available on your agency websites. In addition to the questions below, you should also describe any additional steps taken by your agency to make and improve proactive disclosures of information.

Business Environment and Firm Performance in DRC

Evidence from the 2024 Enterprise Survey

Authors: Zouhour Karray, Damien Puy and Natalia Agapitova
January 2026



Abstract: This paper provides the first analysis of the 2024 World Bank Enterprise Survey for the Democratic Republic of Congo (DRC), covering both the main and micro firm samples, with a focus on the most common business constraints faced by private firms – regulatory burden, taxation, corruption and access to finance. After documenting the structure of the private sector and benchmarking its performance against past outcomes and peer economies, we formally analyze the incidence of business constraints across firm types and estimate their effects on firm performance. We find that the private sector is still overwhelmingly dominated by micro and small firms in low-productivity activities, with limited structural transformation over the past decade. Constraints related to regulation, taxation, corruption, and access to finance remain pervasive and fall disproportionately on the engines of growth, namely high-performing firms, exporters, or smaller and younger enterprises. Econometric estimates show that these barriers exert a large and statistically significant drag on productivity, with simulations suggesting that bringing them closer to peer-country averages could raise output per worker by 10–40 percent depending on the policy lever. Our results highlight the urgency of business environment reforms in DRC and clarify policy priorities, both at the national and subnational level.

I. Introduction

The functioning of the private sector is increasingly recognized as a cornerstone of economic development in low-income and fragile states, offering high growth potential and jobs creation opportunities. A large body of literature highlights that firm productivity and resource allocation are critical drivers of long-run growth (Hall & Jones, 1999; Hsieh & Klenow, 2009; Syverson, 2011). Yet, in many Sub-Saharan African economies, private firms remain small, informal, and stagnant, facing numerous obstacles that prevent them from scaling up and innovating (Bigsten & Söderbom, 2006; Cirera & Maloney, 2017). Understanding the anatomy of these constraints is therefore essential for identifying policy priorities and guiding the dialogue with local authorities.

The Democratic Republic of Congo (DRC) represents a particularly striking case. Despite its size and natural resource wealth, the country’s private sector remains underdeveloped, dominated by a vast number of informal microenterprises concentrated in low-productivity activities. Empirical evidence on the formal private sector is also scarce. The last World Bank Enterprise Survey (ES) for the DRC was conducted more than a decade ago (2013), and no recent academic study has systematically analyzed its business environment or its implication for firm performance.¹ We address this gap by providing the first comprehensive analysis of the 2024 ES, covering both the main and micro firm samples.²

¹ At the same time, the DRC has been the subject of substantial diagnostic and analytical work—including recent World Bank country diagnostics (notably the Country Private Sector Diagnostic (CPSD, 2022), the *Country Economic Memorandum* (CEM, 2023) and the *Country Climate and Development Report* (CCDR, 2023)) and related growth-and-jobs analytics—which document major structural bottlenecks to diversification, productivity growth, and job creation. Our contribution is to provide a more recent and micro-founded update using the newly available 2024 WBES, and to translate these data into operationally relevant insights on constraints, heterogeneity, and reform prioritization.

² The main survey has been conducted by the World Bank as part of the 2024 B-Ready exercise. The micro survey has been co-financed by TRANSFORME Project (P178176) while benefitting from WB oversight and quality control as well as methodology alignment for instrument design and implementation to facilitate international comparison. The team thanks development partners

This study pursues four interrelated objectives. First, we document the structure of the formal private sector in the DRC, with particular attention to firm size distribution, sectoral specialization, and productivity patterns. Second, we benchmark DRC firms against their past performance and peer economies to identify areas of relative progress and persistent weaknesses, focusing on regulation, taxation, corruption, and access to finance—dimensions consistently identified as major barriers to growth in developing countries (Beck et al., 2005; Ayyagari et al., 2008). Third, we analyze the “anatomy” of business constraints within the DRC, investigating which types of firms systematically bear the heaviest burdens. Finally, we estimate the effect of these constraints on firm performance — measured through productivity, investment, and innovation decisions — to inform both the academic debate and the policy agenda.

Methodologically, the paper combines both descriptive and econometric approaches. For the first two objectives, we rely on a descriptive overview and highlight stylized facts on the composition and performance of firms, as well as the incidence of business environment obstacles relative to structural and aspirational peers. The last two objectives are addressed through econometric analysis in two stages. We first examine which firms are most exposed to regulatory, fiscal, and financial barriers using both linear and logistic regressions, thereby identifying the distributional incidence of constraints among Congolese firms. We then estimate the effect of these constraints on firm performance, employing local averages as instruments to mitigate potential endogeneity concerns, in line with recent studies using ES data (Beck et al., 2005; Harrison et al., 2014; Amin et al., 2020).

Our results provide new insights into the persistent underperformance of the Congolese private sector. Four key findings emerge. First, despite some signs of dynamism, structural transformation has remained elusive over the past decade. The landscape is still overwhelmingly dominated by micro and small firms—98 percent of all businesses—primarily operating in low-value-added sectors such as retail trade, or in industries with structurally limited productivity growth potential, including construction, tourism, and hospitality. Firm growth over the life cycle is extremely limited: unlike in more dynamic economies, Congolese firms do not scale up as they age, currently resulting in a very thin segment of large enterprises. The private sector also displays few exporters, an almost nonexistent manufacturing base, and only marginal representation in high-productivity services. Finally, the dispersion in productivity across firms is strikingly high, indicating that many low-performing firms survive and continue to absorb labor. Taken together, the 2024 survey suggests that the DRC’s private sector today closely resembles the landscape observed in 2013, signaling a decade of stagnation in firm size distribution, sectoral upgrading, and productivity-enhancing reallocation.

Second, this underperformance is tightly linked to a persistently adverse business environment. Although some indicators show slight improvement since 2013, regulatory burdens, tax harassment, corruption, and financing constraints remain pervasive and severe. While obtaining a license or permit has become faster, top managers in the DRC still devote around 20 percent of their time to dealing with regulations—more than double the Sub-Saharan African average. Similarly, while the incidence of bribery has declined, it remains exceptionally high, with 40–50 percent of firms expected to pay bribes, often at significant cost.

of We-Fi, C-Jet and CwA-GBF trust funds for their supports to firm’s level data collection in DRC. The team thanks members of TRANSFORME’s PIU (Project Implementing Unit) and Statistics Office in DRC (INS) for the excellent collaboration during data collection. We are also thankful to members of ANAPI (*National Agency for Investment Promotion*), FEC (*Federation of Businesses of the Congo*) and CCA (Business climate unit under the Presidency of Republic) for their support and participation in workshops.

The country also continues to rank second globally in terms of tax harassment, surpassed only by Gabon. Meanwhile, access to finance remains shallow across all firm sizes, with particularly acute gaps among small firms, for whom credit markets remain underdeveloped and unable to meet investment needs. On most aggregate indicators, the DRC still performs poorly even by Sub-Saharan African or low-income country standards.

Third, we show that these business constraints fall most heavily on the very firms that matter most for growth. Smaller and younger businesses, high-performing firms, exporters, and manufacturers systematically face higher regulatory, financial, and corruption-related obstacles, while more protected segments of the economy—such as importers, firms with government ties, or low-performing but larger firms—are comparatively more insulated. These asymmetric burdens dampen investment, hinder innovation, and undermine allocative efficiency. In some promising subnational regions, which could otherwise act as drivers of growth (e.g. Haut Katanga), these challenges are even more acute, indicating the spatially uneven impact of business environment failures. The magnitude and combination of business constraints make it extraordinarily difficult for high-potential firms to emerge and expand.

Finally, our analysis highlights clear avenues for policy action. Across specifications, we find that regulatory harassment, tax pressure, corruption, and financial exclusion exert a statistically significant and economically meaningful drag on productivity, in line with previous work on African firms (Fisman & Svensson, 2007; Aterido, Hallward-Driemeier, & Pagés, 2011; Harrison, Lin, & Xu, 2014). Simulation exercises indicate that halving these constraints—bringing them closer to peer-country averages—would raise output per worker by 10 to 40 percent depending on the constraint being targeted, with generally larger gains for smaller firms. Access to finance emerges as particularly critical. Expanding banking penetration and credit availability could potentially double productivity and investment rates among smaller enterprises.

By systematically documenting the structure of the Congolese private sector, the anatomy of business constraints, and their effects on firm performance, this paper contributes to the growing academic literature on the determinants of firm productivity in developing countries. It provides novel evidence from a fragile state where data has long been lacking and highlights the centrality of business environment reforms for fostering entrepreneurship, innovation, and growth (Collier, 2007; World Bank, 2020). More importantly, the findings suggest that, far from being a level playing field, the Congolese business environment functions as a filter that penalizes the most dynamic segments of the private sector, thereby stifling the engines of growth. Addressing these asymmetries constitutes a policy priority, both at the national and subnational level. In that respect, a consistent finding of our analysis is that regional disparities are substantial and vary significantly across types of constraints, underscoring the urgent need for action at the provincial level but also the potential of subnational reforms to unlock growth in areas that concentrate much of the country's economic potential.

More generally, this paper illustrates how country-specific Enterprise Surveys inform the local policy dialogue in two complementary ways. The first is to help diagnose whether *past* reforms have helped the private sector in practice. In data-constrained environments such as the DRC, where comprehensive and granular policy evaluations are often out of reach, the Enterprise Survey offers a powerful instrument to assess whether past business environment reforms have translated into meaningful and tangible improvements for firms. In that respect, the evidence from the DRC suggests that across key dimensions—

regulation, taxation, corruption, and access to finance—policy efforts over the past decade have not effectively reduced the constraints firms face in their daily operations. As discussed below, this limited progress does not reflect an absence of reform *per se*, but rather implementation gaps and structural frictions that have hindered the transmission of policy changes to enterprises across the country. Although new laws and strategies have been enacted at the central level, they often remained unevenly applied across provinces or delayed in their operationalization due to administrative bottlenecks, limited institutional capacity, political economy constraints, or macroeconomic instability.

Second, by combining detailed firm-level information with robust analytical methods, we show that such surveys can guide *future* policy design—helping to target interventions more precisely, monitor their effects, and strengthen accountability. In areas where reform efforts have so far relied on broad, system-wide approaches—as in the fight against corruption—our findings support a shift toward more targeted, evidence-based measures tailored to specific constraints and regions where corruption most affects firms. They can also help rationalize and reinforce ongoing reform agendas. For example, the analysis of ES access-to-finance indicators presented in this paper aligns closely with the diagnostic underpinning of the *Stratégie Nationale d’Inclusion Financière* (SNIF) 2023–2028, confirming the relevance of its key objectives and design.³ Additionally, the four key business constraints considered in this analysis are highlighted as priority areas of reforms in the *Plan National Stratégique de Développement* (PNSD) and the supplemental *Programme d’Actions du Gouvernement* 2024–2028. By translating granular enterprise data into actionable policy insights, our approach demonstrates how government strategies can be better anchored in the realities of the private sector, thereby maximizing their impact.

The rest of the paper is organized as follows. Section II presents the dataset. Section III reviews the main findings of the descriptive analysis. Sections IV and V describe the econometric analysis and report the key results. Section VI concludes.

³ This includes the need to accelerate ongoing reforms—such as operationalizing the movable-collateral registry, strengthening credit reporting systems, and scaling up partial credit guarantees—while also promoting innovative solutions like asset-based lending, value chain financing, leasing, and digital financial services to broaden access and reduce costs. These reforms are also supported by the TRANSFORME project to improve credit infrastructure and access to credit for MSMEs.

KEYBANK NATIONAL ASSOCIATION, as
Documentation Agent and as a Lender

By: /s/ Mary K. Young
Senior Vice President

FIFTH THIRD BANK

By: /s/ Roy C. Lancot
Vice President

NATIONAL CITY BANK

By: /s/ Marguerite C. Burtzlaff
Senior Vice President

NATIONAL CITY BANK, CANADA
BRANCH, as the Lending Installation
designated by National City Bank to make Non-
Pro Rata Foreign Currency Loans to the
Canadian Borrower on its behalf.

By: /s/ J. Andrew Riddell
Senior Vice President

US BANK NA.

By: /s/ Greg A Ferrence
Regional President

of West of Bengal v. B.K. Mondal & Sons (AIR 1962 SC 779). As already discussed, non-compliance with the provision would result in invalidation of the contract entered into by the government. It is not possible to seek waiver of compliance. (Prakash Baldev Krishan v. State of Punjab AIR 1988 SC 2149).

Principle of Unjust enrichment:

Despite the invalidation of a government contract, it is possible for a third party to enforce the contract against the government in the court of law on some other legal principles. Some of the principles are, ratification of any irregularity and promissory estoppel. Supreme Court in Chatturbhuj (AIR 1954 SC 236) observed that there was nothing to prevent ratification of the contract by the government, especially if such ratification were for its benefit. A right under estoppel would usually be triggered if the government makes some statements to a third party who then acts on reliance upon such statement so as to alter its position.

Restitution:

In case of non compliance of Articles 298 and 299, the third party can rely on Section Sections 64 or 65 or 70 of the Indian Contract Act, 1872 when the government enjoyed the benefits of the contract. The Supreme Court applied section 70 of the Contract Act in BK Mondal case, (AIR 1962 SC 779) when the following conditions are satisfied:

- i) That a contracting party must lawfully do something or deliver something;
- ii) That, in doing so, the party must not be acting gratuitously; and
- iii) That the beneficiary of the act or beneficiary enjoy the benefit thereof.

Law Relating to Government Tenders:

Government tenders in India are regulated by contract law, procurement rules and guidelines. The core principles include transparency, fairness and value for money with a focus on preventing corruption.

What is tender:

A tender is an offer in writing to the contractors/suppliers to execute some specified work or supply some material within a fixed time. It is also called Request for Proposal contains the

project participants, including Design Consultants, construction management firms, contractors, sub-contractors, fabricators and suppliers. In addition to this Guide, adherence to the latest version of the DDC BIM Guidelines for all BIM-designated projects is required.

10. Percent for Art

The Percent for Art program is overseen by the Department of Cultural Affairs (DCLA) and allows for a fixed percentage of the capital project funding to be used to create or purchase artwork for qualifying building and site projects. DDC actively supports the integration of artwork within the design process and community involvement in artist selection and implementation. The Consultant works with the Artist to facilitate that integration.

The Design Consultant's contract with DDC consists of three documents; the Agreement, the Task Order, and this Guide. The Agreement and the Task Order define contractual responsibilities and describe the specific nature of the work required for the particular project. Many of DDC's design projects are initiated through Requirements Contracts for design services. The Requirements Contract is necessarily generic with regard to specific project scopes, since the projects to be undertaken are not known at the time of contract initiation. The Task Order shall be considered to be an elaboration of the Contract. All tasks shall be carried out as directed in this Guide unless the Task Order or other written documentation from DDC explicitly states otherwise. The Guide describes the design criteria of the agency, the goals, services, and deliverables expected, and necessary approvals and procedures. Should there be any conflict among these documents the following order of priority shall prevail:

- 1. Agreement**
- 2. Task Order, including the Project Objectives (scope of work)**
- 3. Design Consultant Guide and Appendix.**

In addition to this Guide and its Appendix, Consultants should familiarize themselves with Client Agency design guides, requirements, or standards. These should be reviewed to ascertain any potential conflicting goals or objectives. The resolution of conflicts is the responsibility of all parties involved.

OVERVIEW OF THE DESIGN PROCESS

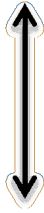
There are four stages in the delivery of capital projects from initiation to the completion of construction. Over the duration of the project various DDC team members will be involved. The four stages are:

1. Project Objectives Preparation and Design Consultant Selection/Contract Registration
2. Design, including Pre-Schematic, Schematic Design, Design Development and Construction Documents
3. Bid, Award, and Registration of Construction Contracts
4. Construction

PROCESS CHART

There are four categories of DDC Division of Public Buildings projects: simple projects and building components done with in-house design resources, system upgrade projects, building renovations, and new construction/major additions. The chart below is a general illustration of requirements for each project in the Division of Public Buildings. The Project Objectives describe project-specific requirements, and obligations of the design professionals.

To expedite small projects with limited scope, the Project Objectives may direct the Consultant to combine phases or skip interim milestones. For example, following Schematic Design, the Project Objectives may direct the Consultant to proceed directly to Construction Documents, or to omit the 50% interim submission.

Project Type	Relative Complexity Scale	Phases								
		Pre-SD	SD	Design Review	DD	Design Review	50% CD	Design Review	100 % CD	Compliance & Bid Packaging
In-House Design		○	●	●	○	○	○	○	●	● *
System Upgrades		○	●	●	○	○	○	○	●	● *
Renovations		○	●	●	●	●	○	○	●	● *
New Construction & Additions		○	●	●	●	●	●	●	●	●

Legend: Required ● Optional ○ * Not Required for JOCS Projects

A. PROFESSIONAL RESPONSIBILITY

At all times throughout the design process, it is the Consultant's professional responsibility to maintain the project schedule and adhere to the approved project budget. During the early phases of design, it is understood that the scope of work may not be fully defined or may evolve as a result of the Consultant's investigations. If Consultants believe the project is underfunded, they shall advise DDC in writing. If the scope of work is to be modified, DDC will advise the Consultant in writing. The Consultant shall study the implications of such changes, and advise DDC in writing of resulting impacts on the project budget and schedule. If the Consultant is directed to proceed with the modified scope, the budget and schedule will be adjusted accordingly. Notwithstanding the above, it is the Consultant's obligation to provide a design that is within the budget of the project. If at any point the cost estimate exceeds the budget, it is the Consultant's responsibility to bring the design within the budget at no additional cost to DDC.

Excellence in design means little without excellence in construction. The City's ability to successfully bid, award, and build the Consultant's work is contingent upon a commitment to produce clear and complete bid documents. Drawings and Specifications must conform to DDC's standards, many of which are legally prescribed. The Consultant shall take particular care in the preparation of specifications. **Specifications will not be accepted if incomplete or uncoordinated, if they contain sections not specific to the project, or contain language not in conformance with DDC requirements.** The Consultant is advised to clarify these requirements as necessary with its specification writers, to review the specifications carefully, and to expeditiously deliver all required specification revisions to the DDC Project Manager.

B. SCOPE PREPARATION AND CONSULTANT SELECTION / CONTRACT REGISTRATION

1. The Client Agency submits a Capital Project Initiation request to the DDC Division of Public Buildings, which includes a general description of the project, a summary of the required work, and funding information. The Program Director of the respective Program Unit assigns a Design Project Manager. Later at the start of the Bid/Award Phase, a Construction Project Manager, known as the Resident Engineer, will be assigned to the team.
2. The Program Unit reviews the program and transmits it to the DDC Strategy Board, where the project is discussed in detail and the various regulatory pathways and design service procurement options are considered and chosen based upon project scope and construction budget. The Strategy Board determines the project's required level of compliance with Local Law 86 (the Green Buildings law), design for healthy living, and Percent for Art. The applicability of BIM or other design standards, and the need for an Energy Master Plan and enhanced energy design to meet the 80x50 mandate are also finalized in the Strategy Board meeting.
3. The Architecture and Engineering Unit (A&E) will assign a Design Review Team Leader who will in turn request Design Review Team members for all applicable disciplines. The Project Manager will arrange a site visit for the Design Review Team who will develop a detailed scope of work, known as the Project Objectives, for the project.
4. Based on the design service procurement method chosen, either the Project Manager will request

described in Section IIIB below. It is necessary to give the Director the authority to make minor modifications to Supplemental Agreements because of the manner in which projects change as the work is progressively completed, and the need for flexibility as a project unfolds. Changes falling outside of the aforementioned areas shall require formal amendment to the Supplemental Agreement and shall be entered into and executed by the City Manager or his/her designee as described above. Supplemental Agreements exceeding \$250,000 shall require Council authorization.

SECTION III. RESPONSIBILITIES OF CONSULTANT AND CITY

A. CONSULTANT'S RESPONSIBILITIES

1. Reporting/Coordination. Consultant shall provide progress reports in a format acceptable to the City at intervals established in the Supplemental Agreement. At any time, upon request, the City shall be entitled to information regarding the status of the project. Consultant is responsible for coordinating its work with the City in such a manner so as to meet project deadlines.
2. Delays/Extensions. If delays to the completion date for the project or for tasks within the project that have individual deadlines result from circumstances that could not reasonably be foreseen by Consultant and which are beyond the reasonable control of the Consultant, one or more extensions of time may be granted, upon written request documenting the reasons for the request. The Director may, in his/her discretion, which shall be reasonably exercised, is authorized to grant such request if such request falls within the parameters set forth in Section IIIB below.
3. Responsibility for Services Performed. Consultant shall maintain an adequate professional staff within the State of North Carolina to render Services to the City. Consultant may use subcontractors to provide Services only if such subcontractors and the services to be performed are identified in either the Master Agreement or a Supplemental Agreement. Otherwise all services described in the Supplemental Agreement shall be rendered by Consultant's employees. Consultant is responsible for the professional quality, technical accuracy, and timely completion and submission of all Services performed under this Agreement and Supplemental Agreements, and for the performance and payment of all subcontractors.
4. Professional Certifications/Endorsements. All final plans, documents, reports, studies, and other data or materials prepared by the Consultant will bear the endorsement of a person employed by Consultant or its approved subcontractors who shall be duly registered in the appropriate professional category for the work performed.
5. Ownership of Work Product.
 - (a) The Consultant hereby assigns to the City, without reservation, all copyrights in all Service-related documents, including sketches, models, photographs, data sets, source code and scripts, and other Services-related expressions created by the Consultant. Among those documents are certain "Work Product," including Service-related deliverables, programs, applications, reports, design drawings, and construction documents. The City's obligation to pay the Consultant is expressly conditioned upon the Consultant's obtaining a valid written comprehensive assignment of copyrights from its sub-consultant in terms identical to those that obligate the Consultant to the City as expressed in this subsection, which copyrights the

Consultant, in turn, hereby assigns to the City. The City, in return, hereby grants the Consultant and its subcontractors a revocable, nonexclusive license to reproduce the documents for purposes relating directly to the Consultant's performance of its obligations under this Agreement for the Consultant's archival records, and for the Consultant's reproduction of drawings and photographs in the Consultant's marketing materials. This nonexclusive license shall terminate automatically upon the occurrence of either a breach of this Agreement by the Consultant or the accused commission by the Consultant of a tort or a crime affecting the City or the Services or upon termination of this Agreement. This nonexclusive license is granted to the Consultant alone and shall not be assigned by the Consultant to any other person or entity, except that the non-exclusive license granted in this Agreement to the Consultant for purposes of the Consultant's performance hereunder may be sub-licensed to the Consultant's subcontractors (with the same limitations). Subject to the foregoing, this nonexclusive license shall terminate automatically upon a Consultant's assignment of this nonexclusive license to another or its attempt to do so.

- (b) To the extent that liability arises from misuse of the Work Product by the City or another consultant or designer, the Consultant shall not be responsible for that misuse. If the City uses the Work Products for purposes including additions to and modifications of the Services, and for other projects, the City shall indemnify the Consultant for losses, including reasonable attorneys' fees, suffered by the Consultant as a result of the use of the design and these documents for such other purposes. If these documents are used for other purposes, the City shall see that they are modified (i) to indicate that the Consultant did not prepare them for such other purposes and is not responsible for their use in connection with such other purposes and (ii) to delete the Consultant's name and seal from the documents (where permitted or required by law).
 - (c) Except for the licenses granted in this subsection III.A.5, no other license or right shall be deemed granted or implied under this Agreement. No other Service-related data, expression, or documents may be reproduced by the Consultant or its sub-consultant for any other purposes without the express written permission of the City.
 - (d) If the City subsequently reproduces Service-related documents or creates a derivative work based upon Service-related documents created by the Consultant, the City shall (where permitted or required by law) remove or completely obliterate the original professional's seals, logos, and other indications on the documents of the identity of the Consultant and its sub-consultants.
6. Retention of Records. Consultant shall maintain all books, documents, and papers pertaining to Services performed under this Agreement, and accounting records, and other records of costs incurred in performance of this Agreement and Supplemental Agreements and shall make them available to the City upon request during the period of this Agreement and for three years after final payment is made. Records of costs incurred include the Consultant's general accounting records and the project records, together with supporting documents and records of the Consultant and all subcontractors-performing work on the project, and all other records of the Consultant and subcontractors considered necessary by the City for a proper audit of project costs.
7. Meetings. Consultant shall meet with City representatives at mutually agreed upon times upon the City's request. Such meetings shall be held at locations designated by the City.

8. UBE Utilization. Consultant shall provide to the Director a UBE utilization report on an annual basis or at mutually agreed upon timeframe upon the City's request.
9. Standard of Care; Errors and Omissions.
 - (a) Standard of Care. The standard of care for all professional services performed or furnished by Consultant under this contract will be the care and skill ordinarily used by members of the subject profession practicing on similar projects whether such projects can be found locally, regionally or nationally. Consultant makes no warranties, express or implied, under this contract or otherwise, in connection with Consultant's services. Subject to the foregoing standard of care, Consultant and its sub-consultants may use or rely upon design elements and information ordinarily or customarily furnished by others, including, but not limited to, specialty contractors, manufacturers, suppliers, and the publishers of technical standards. The Consultant warrants the accuracy of Consultant's representations made to City as to Consultant's qualifications and experience during the process in which the City selected the Consultant. The Consultant represents that it is registered, licensed, and authorized to practice engineering in North Carolina.
 - (b) Compensation for errors and omissions. If (1) the Consultant creates plans or specifications containing an error or omission that causes actual construction of a portion of the work that needs to be changed solely because of the Consultant's error or omission, and, (2) the City elects to apply this subsection III.A.9.(b), the Consultant shall pay the City all reasonable costs of correcting the error or omission, including an amount, calculated according to subsection III.A.9.(b)(ii) below, to compensate the City for time spent by City's employees because of the error or omission without regard to what other services those employees might have done for the City had the error not occurred.
 - (i) (Unforeseen Conditions) An error or omission shall not be grounds for payment under this subsection III.A.9.(b) if the error or omission occurred because of physical conditions that were: (1) not in fact known to the Consultant; (2) not in fact known to the Consultant's sub-consultants; (3) not readily apparent to the Consultant; and (4) not readily apparent to the Consultant's sub-consultants.
 - (ii) (Cost of Employees' Time) The cost of the employees' time will be calculated as follows: the time spent by any salaried employee of the City because of the error or omission shall be compensated at an hourly rate equal to the employee's gross salary (using standards to determine gross salary for federal income tax purposes) during the applicable fiscal year of the City divided by the number of hours worked by that employee for the Owner during that fiscal year.
 - (iii) (Limits on Double Payments) If this subsection III.A.9.(b) is applied to compensate the City for an error or omission, the Consultant shall not owe the City any other compensation to remove the erroneously built work and replace it with correct work. However, the payment of such compensation or the application of this subsection III.A.9.(b) shall not affect liability to the Consultant for personal injury or damage to property. (In the preceding sentence, "damage to property" excludes the damage suffered by the City for the cost of replacing the erroneously installed work for which this paragraph provides compensation, but it includes all other general, special, consequential, or other kinds of damage resulting from the error or omission.)
 - (iv) (Limit on Use of Payment against Consultant) A payment by the Consultant pursuant to this subsection III.A.9.(b) shall be considered a compromise, and the City shall not introduce the fact of the payment in any legal action or proceeding except to the extent that compromises are admissible.

- (v) (Nonpayment Hereunder Not to Prevent Other Claims) If this Section III.A.9.(b) is not applied by the City so as to compensate the City for an error or omission, this Section III.A.9.(b) shall not be used to construe this contract so as to reduce any remedy that is available to the City because of that error or omission. For example, to the extent an error or omission is not compensated for because the amount exceeds the insurance deductible, the City will not be deemed to have waived a claim therefor for all damages arising from the error or omission.

10. Conflicts of Interest.

- (a) The Consultant does hereby certify that it has not entered into and, during the lifetime of the contract, will not enter into any agreement with a third-party affording the Consultant, or any sub-consultants that they may hire, with any direct or indirect financial interest in the outcome of the project, except with regard to the project development, human and natural environmental and/or engineering services associated with this contract.
 - (i) Pursuant to N.C.G.S. § 133-1, the Consultant will not knowingly specify building materials, equipment, or other items that are manufactured, sold or distributed by any firm or corporation in which the designer has a financial interest.
 - (ii) Pursuant to N.C.G.S. § 133-2, the Consultant will not employ or allow manufacturers or their representatives or agents to write, plan, draw, or make specifications for such public works.
 - (iii) The Consultant does hereby certify that it does not have any potential conflict of interest with any entity involved with the project. Any potential conflict of interest shall be disclosed immediately to the City.
- (b) The Consultant shall comply with all applicable conflicts of interest laws including N.C.G.S. § 133-32 and 23 C.F.R. § 1.33.

B. CITY'S RESPONSIBILITIES

- 1. Director Authority. The Director or his/her designee is authorized to take actions on behalf of the City with respect to performance of this Agreement and Supplemental Agreements. His/her instructions, requests, and decisions on behalf of the City, where documented in writing, and not inconsistent with this Agreement or Supplemental Agreements shall be binding. This authorization does not give the Director the authority to enter into Supplemental Agreements or amendments to the Agreement or Supplemental Agreements, other than as described in this Agreement. The Director may authorize and execute the following changes, if such are agreed to in writing by both parties: change the amount of payment for particular subtasks, if such changes do not alter the rate of compensation of Consultant or its subordinates, or increase the total compensation required for completion of the project as provided for in the Supplemental Agreement, or reduce the amount of work being performed by Consultant; refine or redistribute services where there is no change in the general amount, scope, or nature of the work to be performed on a project; and extend time for a project or portion thereof if the final completion date for the project is not extended by more than 25% of the time originally allotted for the project.
- 2. City Information. City shall provide existing data, plans, reports, and other information in possession of or under control of the City, which are necessary for Consultant's Performance of Services and shall assist Consultant in obtaining other necessary information from City's files.

3. Notice of Inadequate Performance. City shall give prompt written notice to the Consultant if the City observes or otherwise becomes aware of any fault or defect in Consultant's conformance to this Agreement. Failure to give such notice shall not constitute a waiver of the City's right to require compliance with this Agreement or Supplemental Agreements.

SECTION IV. PERIOD OF SERVICE

A. DURATION

This Master Agreement shall authorize Supplemental Agreements to be executed for a three (3) year period from the date of execution of this Agreement. Any Supplemental Agreement executed within three years of execution of this Master Agreement shall be binding for the time period set forth therein, and this Agreement and such Supplemental Agreement, and amendments to such Agreements, shall be binding for the time period set forth in the Supplemental Agreement. Any Supplemental Agreement executed within this three-year period may be amended for additional scope, fee or time after the three-year period has expired.

B. NOTICE TO PROCEED

Services shall commence upon execution of Supplemental Agreements describing the specific project and Services to be performed. The Director or his/her designee will issue a written Notice to Proceed following execution of such Supplemental Agreement(s). Consultant will not commence Services until such notice is received.

SECTION V. COMPENSATION

A. GENERAL PROVISIONS/HOURLY RATE SCHEDULE

The terms of payment for Services provided by Consultant shall be set forth in each Supplemental Agreement. Such Agreement may provide for compensation in accordance with an hourly rate schedule, or a set fee for Services, paid one time or in periodic payments, or a combination of these methods of compensation.

Unless otherwise provided in the Supplemental Agreement, Consultant shall obtain, and provide, without additional cost to the City, all labor, materials, equipment, transportation, facilities, services, permits, and licenses necessary to perform Services under this Agreement. In addition to hourly rates or the set fee payment set forth in the Supplemental Agreement, City shall pay Consultant for expenses and costs only when reimbursement for such items is specifically provided for in a Supplemental Agreement. The City shall not be obligated to pay any expenses and costs not specifically identified in a Supplemental Agreement.

B. INVOICES/COSTS

1. Frequency/Detail

Invoices for all compensation owed in accordance with the Supplemental Agreement, including but not limited to hourly fees, lump sum payments, periodic payments, and all specifically identified, reimbursable costs and expenses shall be submitted to the City on a monthly basis, or on such other schedule as may be provided in the Supplemental Agreement. Invoices shall provide sufficient

detail to process the invoice for payment and for a proper pre-audit and post-audit thereof in accordance with City standards. If Consultant has performed Services for which payment is not yet due, as, for example, when there is a limitation on the amount of periodic payments, or when compensation is not due until a particular task is completed, Consultant shall invoice the City only for those amounts owed under the provisions of the Supplemental Agreement, and shall show Services performed for which compensation is not yet owed separately from the amounts currently due.

2. Receipts

If a Supplemental Agreement specifically allows for basic incidental project expenses to be billed without receipts, these expenses may include but are not limited to local mileage, local and long distance telephone calls, fax expenses, photocopies, and other routine expenses normally sustained in the performance of engineering and planning work. If such expenses are specifically allowed, Consultant may include, without receipts, an amount equal to 6.5% of labor costs as an allocation for these expenses, without providing receipts for the expenses. A percentage amount for basic incidental project expenses shall not be allowed if compensation is through a set fee, whether paid at one time or in periodic payments. A Supplemental Agreement may also specifically allow for payment of unusual, non-routine direct expenses. In order to be eligible for reimbursement, such expenses must be identified in the Supplemental Agreement. Such expenses may include but not be limited to, mileage for travel to sites outside of a 75-mile radius of Durham (but not including mileage to and from Consultant's place of business to Durham), rental cars, permit fees, lodging, and meals. Where such expenses are eligible for reimbursement, the Consultant shall collect and maintain receipts for said expenses and furnish such receipts to the City with the periodic invoices submitted for Services. Reimbursement shall be provided per City guidelines. Travel, lodging, and meal costs shall be governed by City guidelines and restrictions regarding reimbursable costs for City employees.

3. Additional Guidelines Regarding Determination of Costs.

Where reimbursement for costs is specifically allowed in the Supplemental Agreement, but the determination of such costs is not provided for in this Agreement or such Supplemental Agreement, or in the event of a dispute regarding costs not governed by this Agreement, the provisions of State law, City regulations or guidelines shall apply, with the limitation that the more restrictive of those regulations or guidelines will govern in case of inconsistency.

4. Disputed Items

In the event that Consultant's invoices and receipts are submitted in compliance with the requirements of this Agreement, if the City disputes any items in any invoices submitted by Consultant City shall notify the Consultant within 60 days of receipt of any disputed item and request clarification and/or remedial action. If objections are not raised within 60 days of receipt of the invoice, the City's objections shall be waived, and the invoice shall be deemed due and owing. After this point, Consultant may include the disputed item(s) in its regular, periodic invoices or on a special invoice for the disputed item only.

C. PAYMENT

Within approximately 30 days of City receiving Consultant's invoice, City shall pay Consultant for undisputed amounts within the invoice, unless the invoice does not properly reflect the amounts owed in accordance with limitations contained in a Supplemental Agreement.

D. AUDIT OF RECORDS

The Consultant agrees to maintain all information pertaining to billing for Services performed under this Agreement for three years after final payment has been made.

SECTION VI. UBE REQUIREMENTS

A. EEO

POLICY STATEMENT. THE CITY OPPOSES DISCRIMINATION ON THE BASIS OF RACE AND SEX AND URGES ALL OF ITS CONTRACTORS TO PROVIDE A FAIR OPPORTUNITY FOR MINORITIES AND WOMEN TO PARTICIPATE IN THEIR WORK FORCE AND AS SUBCONTRACTORS AND VENDORS UNDER City CONTRACTS.

B. EBOP

The Consultant shall comply with all applicable provisions of Article III of Chapter 18 of the Durham City Code (Equal Business Opportunity Program), as amended from time to time. The failure of the Consultant to comply with Article III of Chapter 18 shall be a material breach of Agreement which may result in the rescission or termination of this contract and/or other appropriate remedies in accordance with the provisions of that chapter, this contract, and State law. The Participation Plan submitted in accordance with that chapter is binding on the Consultant. Section 18-59(f) of Article III of Chapter 18 provides, in part, "If the City Manager determines that the Contractor has failed to comply with the provisions of the Contract, the City Manager shall notify the Contractor in writing of the deficiencies. The Contractor shall have 14 days, or such time as specified in the Contract, to cure the deficiencies or establish that there are no deficiencies." It is stipulated and agreed that those two quoted sentences apply only to the Consultant's alleged violations of its obligations under Article III of Chapter 18 and not to the Consultant's alleged violations of other obligations.

SECTION VII. INSURANCE COVERAGE AND INDEMNIFICATION

A. GENERAL INSURANCE REQUIREMENTS

The Contractor agrees to maintain on a primary basis, at its sole expense, and at all times during the life of this contract the following applicable coverages and limits. The requirements contained herein, as well as the City's review or acceptance of insurance maintained by the Contractor, is not intended to, and shall not in any manner, limit or qualify the liabilities or obligations assumed by the Contractor under this contract.

Commercial General Liability – Combined single limit of no less than \$1,000,000 each occurrence and \$2,000,000 aggregate. Coverage shall not contain any endorsement excluding or limiting Product/Completed Operations, Contractual Liability, Cross Liability, or Personal and Advertising Injury Liability.

Automobile Liability – Limits of no less than \$1,000,000 Combined Single Limit. Coverage shall include liability for Owned, Non-Owned, and Hired automobiles. In the event the Contractor does not own automobiles, the Contractor agrees to maintain coverage for Hired and Non-Owned Auto Liability, which may be satisfied by way of endorsement to the Commercial General Liability policy or by separate Auto Liability policy. Automobile coverage is necessary only if vehicles are used in the provision of services under this contract or are brought on a City site.

Umbrella or Excess Liability – The Contractor may satisfy the minimum liability limits required above under an Umbrella or Excess Liability policy. There is no minimum Per Occurrence limit of liability under the Umbrella or Excess Liability. However, the Annual Aggregate limits shall not be less than the highest “Each Occurrence” limit for required policies. The Contractor agrees to endorse the City as an “Additional Insured” on the Umbrella or Excess Liability unless the certificate of insurance states the Umbrella or Excess Liability provides coverage on a “Follow-Form” basis.

Worker’s Compensation & Employers Liability – The Contractor agrees to maintain Worker’s Compensation Insurance in accordance with Chapter 97 of the North Carolina General Statutes and with Employer Liability limits of no less than \$1,000,000 for each accident, each employee, and policy limit. This policy must include a waiver of subrogation.

Professional Liability– The Contractor agrees to maintain Professional Liability Insurance with limits no less than \$1,000,000.

Additional Insured – The Contractor agrees to endorse the City as an Additional Insured on the Commercial General Liability. The Additional Insured shall read “City of Durham as its interest may appear”.

Certificate of Insurance – The Contractor agrees to provide the City a certificate of insurance evidencing that all coverage, limits, and endorsements required herein are maintained and in full force and effect, and certificates of insurance shall provide a minimum thirty (30) day endeavor to notify, when available, by the Contractor’s insurer. If the Contractor receives a non-renewal or cancellation notice from an insurance carrier affording coverage required herein or receives notice that coverage no longer complies with the insurance requirements herein, the Contractor agrees to notify the City within five (5) Business Days with a copy of the non-renewal or the cancellation notice or with written specifics as to which coverage is no longer in compliance. The Certificate Holder address should appear as follows:

City of Durham
Attn: Transportation
101 City Hall Plaza
Durham, NC 27701

All primary insurance carriers must be authorized to do business in North Carolina. As used in this contract, “Business Day” is defined as any day other than Saturdays, Sundays, and any legal holiday recognized by the City pursuant to City Code Section 42-16, as amended.

B. INDEMNIFICATION

1. In general. The terms of subsection (3) (Standard Indemnification Provision) below shall apply to the Contractor, subject to subsections (4) through (11), where applicable.

2. Definitions. These definitions apply to this Section unless otherwise stated.

Contractor – Each party to this contract except the City of Durham.

Construction agreement -- any promise or agreement in, or in connection with, a contract or agreement relative to the design, planning, construction, alteration, repair, or maintenance of a building, structure, highway, road, appurtenance, or appliance, including moving, demolition, and excavating connected therewith.

Defend –In this Section except in subsection (3), defend means to pay for or furnish counsel at the expense of the Contractor to defend any of the Indemnitees against claims alleged or brought against any of the Indemnitees by a third party alleged or brought in any court or other tribunal, including forms of alternative dispute resolution required by law or contract, before the court or tribunal has reached a final determination of fault.

Derivative parties -- with respect to a party, any of that party's subcontractors, agents, employees, or other persons or entities for which the party may be liable or responsible as a result of any statutory, tort, or contractual duty.

Design professional -- a person or entity who is licensed under and provides professional services regulated by Chapters 83A, 89A, 89C, 89E, or 89F of the N. C. General Statutes.

Design professional agreement -- any promise or agreement in, or in connection with, a contract or agreement with a design professional to provide design professional services.

Design professional services -- a service or work performed by a design professional for which licensure is required under Chapters 83A, 89A, 89C, 89E, or 89F of the N. C. General Statutes.

Fault – a breach of contract; negligent, reckless, or intentional act or omission constituting a tort under applicable statutes or common law; or violations of applicable statutes or regulations.

Indemnitees -- City and its officers, officials, independent contractors, agents, and employees, excluding the Contractor.

Subcontractor – any person or entity, of any tier, providing labor or material through the Contractor for use on the project at issue in the applicable construction agreement or design professional agreement.

3. Standard Indemnification Provision. (a) The Contractor shall defend, indemnify, and hold harmless Indemnitees from and against all Charges that arise in any manner from, in connection with, or out of this contract as a result of acts or omissions of the Contractor or its derivative parties. In performing its duties under this subsection “3,” the Contractor shall at its sole expense defend Indemnitees with legal counsel reasonably acceptable to City. (b) “Charges” means claims, judgments, costs, damages, losses, demands, liabilities, duties, obligations, fines, penalties, royalties, settlements, and expenses. Included without limitation within “Charges” are (i) interest and reasonable attorney’s fees assessed as part of any such item, and (ii) amounts for alleged violations of sedimentation pollution, erosion control, pollution, or other environmental laws, regulations, ordinances, rules, or orders -- including but not limited to any such alleged violation that arises out of the handling, transportation, deposit, or delivery of the items that are the subject of this contract. By appropriate litigation, each Indemnatee, severally, shall have the right to enforce this section (titled “Indemnification”) directly against the Contractor, but not against the City of Durham.

4. Restriction regarding Indemnitees' Negligence. This contract shall not require the Contractor to indemnify or hold harmless Indemnitees against liability for damages arising out of bodily injury to persons or damage to property proximately caused by or resulting from the negligence, in whole or in part, of Indemnitees.
5. Restriction regarding Fault in Construction Agreements and Design Professional Agreements. If this contract is a construction agreement or design professional agreement, nothing in this contract requires the Contractor to indemnify or hold harmless Indemnitees or any other person or entity against losses, damages, or expenses unless the fault of the Contractor or its derivative parties is a proximate cause of the loss, damage, or expense indemnified.
6. Restriction regarding Negligence of Design Professionals. Nothing in this contract requires the Contractor, provided that it is a design professional, to defend Indemnitees or any other person or entity against liability or claims for damages, or expenses, including attorney's fees, proximately caused or allegedly caused by the professional negligence, in whole or in part, of the Contractor, the City, or their derivative parties, whether the claim is alleged or brought in tort or contract.
7. Liability When at Fault. The parties intend that nothing in this contract shall be construed to exclude from any indemnity or hold harmless provisions enforceable under subsection (4) (Restriction regarding Indemnitees' Negligence) and subsection (5) (Restriction regarding Fault in Construction Agreements and Design Professional Agreements) any attorneys' fees, litigation or arbitration expenses, or court costs actually incurred by the City to defend against third party claims alleged in any court, tribunal, or alternative dispute resolution procedure required of the City by law or by contract, if the fault of the Contractor or its derivative parties is a proximate cause of the attorney's fees, litigation or arbitration expenses, or court costs to be indemnified. Every provision in this contract that violates the parties' intent expressed in the preceding sentence shall be construed and revised to the extent that it is lawful in order to make the provision conform with such intent.
8. Insurance Contracts and Bonds. This Section does not affect an insurance contract, workers' compensation, or any other agreement issued by an insurer; and this Section does not apply to lien or bond claims asserted under Chapter 44A of the N.C. General Statutes.
9. Other Provisions. Every provision in this contract that violates subsection (4) (Restriction regarding Indemnitees' Negligence), subsection (5) (Restriction regarding Fault in Construction Agreements and Design Professional Agreements), or subsection (6) (Restriction Regarding Negligence of Design Professionals) shall be construed and revised to the extent that it is lawful in order to make the provision conform with those subsections.
10. Survival. This Section shall remain in force despite termination of this contract (whether by expiration of the term or otherwise) and termination of the services of the Contractor under this contract.
11. Compliance with Law. This Section shall be applied to the maximum extent allowed by law but it shall be construed and limited as necessary to comply with N.C.G.S. § 22B-1. This Section is not to be construed in favor or against any party as the drafter. The preceding sentence is not intended to imply or direct how the remainder of this Section or of this contract is to be construed.

SECTION VIII. GENERAL PROVISIONS

A. CHOICE OF LAW AND FORUM

This contract shall be deemed made in Durham County, North Carolina. This contract shall be governed by and construed in accordance with the law of North Carolina. The exclusive forum and venue for all actions arising out of this contract shall be the North Carolina General Court of Justice, in Durham County. Such actions shall neither be commenced in nor removed to federal court. This section shall not apply to subsequent actions to enforce a judgment entered in actions heard pursuant to this section. This subsection VII.A shall not apply to subsequent actions to enforce a judgment entered in actions heard pursuant to this section.

B. SUCCESSORS AND ASSIGNS

City and Consultant, respectively, bind themselves, their partners, successors, assigns, and legal representatives to this Agreement. Neither City nor Consultant shall assign, delegate, or transfer any interest in or duties arising out of this Agreement without the written consent of the other.

C. MODIFICATIONS; ENTIRE AGREEMENT

No modification to this Agreement, or any attachments hereto, or to any Supplemental Agreement, shall have any force or affect unless the change is reduced to writing, dated, and made part of this Agreement. Except where this Agreement authorizes changes to be made by the Director (or designee), the execution of any changes on behalf of the City must be signed by the City Manager or a deputy or Assistant City Manager. This Agreement contains the entire Agreement between the parties pertaining to the general provisions of employment of the Consultant. There are no promises, conditions, inducements, warranties, or written or oral understandings, expressed or implied, between the parties, other than as specifically set forth or referenced in this Agreement.

D. NOTICES

1. In General. This subsection (1) pertains to all notices related to or asserting default, breach of contract, claim for damages, suspension or termination of performance, suspension or termination of contract, and extension or renewal of the term. All such notices must be in writing and made by personal delivery, UPS, Federal Express, a designated delivery service authorized pursuant to 26 U.S.C. 7502(f)(2), or certified United States mail, return receipt requested; in addition, subsection (2) must also be complied with.
2. Additional Notice by Fax or Email. In addition to complying with subsection (1), the party giving notice or other communication shall also send it by fax or email if the other party has provided a valid, working fax number or email address.
3. When Notice Period Is Less than 9 Days. If a required notice period is less than 9 days, the party shall also make reasonable attempts, before or promptly after giving written notice under subsections (1) and (2), to use a telephone to orally communicate the substance of the contents of the written notice. Communicating the substance of the contents by an in-person conversation will satisfy the preceding sentence.

4. Change of Address; Discovery of Invalid Fax Number or Email Address. A change of address, fax number, email address, telephone number, or person to receive notice may be made by either party by notice given to the other party. At any time that a party discovers that the other party has provided it a fax number or email address that is not valid, the discovering party shall provide notice of the discovery to the other party, so that it can substitute a valid fax number or email address.
5. Date Notice Deemed Given. If a notice is sent by United States mail, it is deemed complete upon actual delivery or on the third day following the day on which it is deposited with the United States Postal Service, whichever occurs first. Notice is deemed given when both subsection (1) and subsection (2) have been complied with.
6. When Undeliverable Notice Is Deemed Sent. If a notice is undeliverable because the address or other information provided to the sender by the other party is incorrect, incomplete, or out of date, the notice will be deemed sent on the date that the sender attempts to deliver by fax or email, or the date it places the notice in the custody of UPS, Federal Express, a designated delivery service authorized pursuant to 26 U.S.C. 7502(f)(2), or the U. S. Postal Service for certified United States mail, return receipt requested. If a fax is not received because the recipient's fax number is busy on three attempts to fax that are at least ten minutes apart during a 4-hour period, the fax will be deemed undeliverable.
7. Addresses. Subject to change pursuant to subsection (4), the addresses for these notices, are:

For the City:

Sean Egan
Director, Department of Transportation
101 City Hall Plaza
Durham, NC 27701
Fax number is (919)560-4561
Email: sean.egan@durhamnc.gov

For Consultant:

[CONSULTANT NAME]
[NAME OF FIRM]
[CONSULTANT ADDRESS]
[CITY], [STATE] [ZIP CODE]
Phone Number: XXX-XXX-XXXX
Email: [EMAIL ADDRESS]

F. DISPUTE RESOLUTION

1. The Consultant and City agree to negotiate all disputes between them in good faith for a period of 30 days from the date of notice prior to exercising their rights under Section F.2 below.

2. If and to the extent that Consultant and City have agreed on a method and procedure for resolving disputes between them arising out of or relating to this Agreement, such dispute resolution method and procedure shall be in accordance with the dispute resolution process adopted by the N.C. State Building Commission pursuant to N.C.G.S. § 143-135.26(11) and N.C.G.S. § 143-128(f1).

G. DISCLOSURE/PUBLICITY

The Consultant shall make no statements, or press or publicity releases concerning this Agreement or Supplemental Agreements or otherwise disclose or permit to be disclosed any of the data or other information obtained or furnished in compliance with this Agreement or Supplemental Agreements during the period of the Agreement, without first notifying the City and securing its consent in writing. The Consultant also agrees that it shall not publish, copyright, or patent any of the data furnished in compliance with this Agreement or Supplemental Agreements, it being understood that such data or information is the property of the City.

H. WAIVER

No action or failure to act by the City shall constitute a waiver of any of the City's rights or remedies arising out of this Agreement, nor shall such action or failure to act constitute approval of or acquiescence in a breach thereunder, except as may be specifically agreed in writing.

I. LIMITED THIRD PARTY RIGHTS CREATED

This Agreement is intended for the benefit of the City and the Consultant and not any other person, except to the extent otherwise expressly stated in this contract.

J. SEVERABILITY

If any provision of this Agreement shall be unenforceable, the remainder of this Agreement shall be enforceable to the extent permitted by law.

K. PERFORMANCE OF GOVERNMENT FUNCTIONS

Nothing contained in this contract shall be deemed or construed so as to in any way estop, limit, or impair the City from exercising or performing any regulatory, policing, legislative, governmental, or other powers or functions.

L. ASSIGNMENT, SUCCESSORS AND ASSIGNS.

Without the City's written consent, the Consultant shall not assign (which includes to delegate) any of its rights (including the right to payment) or duties that arise out of this contract. The City Manager may consent to an assignment without action by the City Council. Unless the City otherwise agrees in writing, the Consultant and all assignees shall be subject to all of the City's defenses and shall be liable for all of the Consultant's duties that arise out of this contract and all of the City's claims that arise out of this contract. Without granting the Consultant the right to assign, it is agreed that the duties of the Consultant that arise out of this contract shall be binding upon it and its heirs, personal representatives, successors, and assigns.

M. COMPLIANCE WITH LAW

In performing all of the Services, the Consultant shall comply with all applicable law.

N. MUNICIPAL ADVISOR

In the performance of its services on behalf of the City, Consultant (a) is not recommending that the City take or refrain from taking any action regarding municipal financial products or the issuance of municipal securities; (b) is not acting as a municipal advisor to the City and does not owe a fiduciary duty to the City pursuant to Section 15B of the Securities Exchange Act of 1934, as amended by the Dodd-Frank Wall Street Reform and Consumer Protection Act, with respect to any of Consultant's deliverables; and (c) is acting for its own interest.

O. COVID-19 PROVISION

While Consultant has made reasonable efforts to incorporate into its plan for the project any known current project impacts of the COVID-19 pandemic, Consultant has not accounted for unknown and unreasonably foreseen future changes due to the COVID-19 pandemic, including, without limitation, additional restrictions by government agencies or others (such as the availability of the site for access or the availability of City or Consultant staff or others) to the extent they delay or otherwise impact the project. In that event, Consultant will notify City and work in good faith to equitably address any unexpected impacts therefrom.

SECTION IX. E-VERIFY REQUIREMENTS:

(a) If this contract is awarded pursuant to North Carolina General Statutes (NCGS) 143-129 – (i) the contractor represents and covenants that the contractor and its subcontractors comply with the requirements of Article 2 of Chapter 64 of the NCGS; (ii) the words "contractor," "contractor's subcontractors," and "comply" as used in this subsection (a) shall have the meanings intended by NCGS 143-129(j); and (iii) the City is relying on this subsection (a) in entering into this contract. (b) If this contract is subject to NCGS 143-133.3, the contractor and its subcontractors shall comply with the requirements of Article 2 of Chapter 64 of the NCGS.

SECTION X. CRITERIA FOR INACTIVE STATUS OR REMOVAL FROM ON-CALL LIST

The criteria outlined below will be used to place a firm on inactive status or remove the Consultant from the "On-Call" List.

1. If Consultant loses technical expertise, as determined by the City, in the form of individuals, expertise or certification affecting the Consultant's overall qualifications to perform the described project work for which the Consultant was originally qualified by the City, and does not replace that expertise within two (2) months, then the Consultant will be put on inactive status. Replacement of technical expertise will require written City approval to allow the firm to be reinstated on the "On-Call" List.

2. If Consultant declines a specific project assignment two (2) consecutive times, then the Consultant will be put on inactive status. A written request from the inactive firm, providing appropriate justification, will be required to seek reinstatement on the “On-Call” List. Written City approval will be required to allow the firm to be reinstated on the “On-Call” List.

Consultant may be removed from the “On-Call” List for any of the following reasons as determined by the City:

1. Loss of Technical Expertise - If the Consultant loses their technical expertise and has not replaced that expertise within three (3) months.
2. Declining work - If the Consultant is put on inactive status two (2) times for declining specific project assignments.
3. Responsiveness and accessibility of the Project Manager - If a Project Manager or his/her designee is nonresponsive and inaccessible for more than seven (7) working days
4. Poor quality control - If the Consultant exhibits poor quality control.
5. Poor work product and/or deliverables – If the Consultant produces poor work product and/or deliverables.
6. Late work milestone performance and/or late deliverables - If the Consultant performs work milestones late and/or delivers late work product or deliverables (only due to their fault).

SECTION XI. TERMINATION OF AGREEMENT

A. DEFAULT

This Agreement or Supplemental Agreements may be terminated in whole or in part in writing by either party at any time for breach or default; provided that no termination for default may be affected unless the other party is given a ten (10) working day cure period after written notice of intent to terminate is delivered by Certified Mail, Return Receipt Requested to the party allegedly in default.

B. TERMINATION FOR CONVENIENCE OF CITY

The City may terminate this Agreement or Supplemental Agreements in whole or in part in writing, by giving ten (10) days’ notice, delivered by Certified Mail, Return Receipt Requested at any time the interest of the City requires such termination.

If the Agreement or any Supplemental Agreement is terminated for convenience before performance is completed, the Consultant shall immediately discontinue all services, unless notice from the City directs otherwise. City shall pay Consultant for the services performed to the date of receipt of notice of termination. The City shall pay Consultant the lesser of either Consultant's substantiated labor and costs, or the percentage of the contract price corresponding to the percentage of the total work that has been completed under the Supplemental Agreement.

C. DELIVERY OF DOCUMENTS AFTER TERMINATION

Upon any termination, Consultant shall deliver or otherwise make available to City all documents, data, drawings, specifications, reports, estimates, summaries, and such other information and materials that have been created, in whole or in part, or accumulated by Consultant in performing

this Agreement or Supplemental Agreements. Consultant shall only be responsible for the accuracy and reliability of fully completed work delivered in accordance with early termination.

D. CITY MAY COMPLETE WORK

Upon termination City may complete the services in any way that the City, in its discretion, determines is appropriate, including but not limited to using City personnel, or contracting with outside parties. Completion of such work shall not waive any of City's rights and remedies.

IN WITNESS WHEREOF, the City and the Consultant have caused this contract to be executed under seal themselves or by their respective duly authorized agents or officers.

CITY OF DURHAM

_____ By: _____

Preaudit Certificate, if appropriate: _____

[FIRM NAME IN CAPITAL LETTERS]

ATTEST:

_____	_____ (SEAL)
Name	Signature
Title: _____	

By: _____
Secretary

(Affix Corporate Seal)

State of _____
County of _____

ACKNOWLEDGMENT BY CORPORATION

I, a notary public in and for the aforesaid county and state, certify that _____ personally appeared before me this day and stated that he or she is *(strike through the inapplicable)* chairperson / president/ chief executive officer / vice-president / assistant vice-president / treasurer / chief financial officer of _____, a corporation, and that by authority duly given and as the act of the corporation, he or she signed, under seal, the foregoing contract or agreement with the City of Durham. This the _____ day of _____, 20____.

My Commission Expires:

Notary Public

List of Approved Key Personnel for N66604-26-R-0163

The following Key Personnel are approved for this task order. Any changes to the below list require approval in accordance with clause C-237-H002 "SUBSTITUTION OF KEY PERSONNEL".

[illegible]

should have provided fair opportunity for all contractors on the MAC to either bid on the amended RFTOP or bid on a new solicitation.

Price Reasonableness Not Adequately Documented

Contracting officials received only one proposal on 6 task orders, valued at \$45.6 million, of the 20 task orders reviewed, and did not adequately document and support that the prices obtained were reasonable. In addition, contracting officials either did not prepare

Contracting officials either did not prepare or maintain adequate documentation to support that the prices were reasonable for nine modifications on six task orders with price increases, valued at \$3.8 million.

or maintain adequate documentation to support that the prices were reasonable for nine modifications on six task orders with price increases, valued at \$3.8 million.

FAR 15.402, "Pricing Policy," requires contracting officers to purchase supplies and services from responsible sources at fair and

reasonable prices. FAR 15.404-1, "Proposal Analysis Techniques," states that historical costs, cost realism analysis, and IGCE can be used to evaluate price reasonableness.

Price Reasonableness Not Adequately Documented on Initial Award

For the six task orders with only one bid, contracting officers used business clearance memorandums (BCM) that included using IGCEs as support for price reasonableness determinations but did not document the basis and support for the estimates in the contract file. For example, the contracting officer for task orders 7 and 8, awarded under contract N62473-07-D-4020, reported price reasonableness determinations in the BCMs without basis for them in the IGCEs or in the contract file. The alternate COR confirmed that a support contractor prepared the IGCEs but explained that the Government provided input and guidance for the preparation of the estimates and that he reviewed the IGCEs. The IGCEs on task order 7 and 8 were not signed and dated. In addition, the support contractor that developed the IGCE for task order 7 had previously been awarded a task order under another contract to develop the inventory list needed for task order 7 but, according to the BCM for task order 7, "was ultimately unable to provide deliverables that fully met requirements, leaving major shortfalls in needed equipment data." In another example, the Navy Technical Representative (NTR) for task order 3, awarded under contract N62583-09-D-0068, stated that he prepared the IGCE based on his experience with cost estimate figures and labor hours for that type of work, but he did not reference the historical data in the contract file that formed the basis for his experience. The contracting officials should verify that Government review of the IGCE is documented and the basis for the IGCE has supportable data to provide assurance that contracting officials negotiate awards that result in a fair and reasonable price. In addition, contracting officials should maintain complete contract file support for fair and reasonable price determinations.

Price Reasonableness Not Adequately Documented on Task Order Modifications

For eight of the nine task order modifications, contracting officials compared price proposals to the IGCEs; however, the IGCEs did not document the basis and have supportable data for the estimates. The contracting officer awarded the remaining task order modification without having an IGCE prepared. For example, a contracting officer issued modification 1 to task order 31, awarded under contract N62583-09-D-0064, increasing the price by \$250,753, without obtaining adequate analysis and documentation supporting that the price increase was fair and reasonable. Modification 1 resulted in a 44 percent price increase of the initial task order award of \$574,460. According to the price negotiation memorandum, the NTR prepared the IGCE based on his knowledge and experience but the IGCE did not reference historical cost data for support.

In another example, a contracting officer issued three modifications to task order 34, awarded under contract N62583-09-D-0064, increasing the price by \$609,773 (41 percent), without the contracting officer obtaining adequate documentation that the price increases were fair and reasonable. The price negotiation memorandum for modification 1, valued at \$254,482, contained no explanation of how the IGCE was developed. The price negotiation memorandums for modifications 2 and 3, totaling \$355,291, stated that the IGCE was prepared by the NTR based on his knowledge and expertise. Contracting officials did not have supporting documentation available to support the reasonableness of the cost estimates.

Contracting officials for the nine task order modifications did not have supportable cost estimates available when making their fair and reasonable price determinations.

Contracting officials should verify that IGCEs include adequate documented support for cost estimates and maintain complete contract file support for fair and reasonable price determinations on negotiated task orders and modifications. In addition, contracting officials should make sure that Naval Facility Engineering Command personnel prepare the IGCEs or document their review and acceptance of an IGCE prepared by a contractor. An adequately supported price reasonableness determination is critical, especially when only one proposal is received to provide assurance that the Government obtains a fair and reasonable price on the purchase.

Conclusion

Although contracting officials generally competed and received multiple proposals for task orders under MACs to support fair opportunity, they awarded 2 of the 20 task orders without giving all potential contractors an opportunity to compete. In addition, contracting officials did not adequately document that price reasonableness was achieved on six task orders that had only one contractor proposal. Also, contracting officials either did not prepare or did not maintain adequate documentation to support that the prices were reasonable for nine modifications made to task orders with price increases. As a result, contracting officials did not have assurance that the Government obtained a fair

and reasonable price for six task orders and nine task order modifications issued under the four MACs.

Recommendations, Management Comments and Our Response

A. We recommend the Director, Specialty Center Acquisition, Naval Facility Engineering Command, establish procedures that require:

1. Verification that the contracting officer sends the Request for Task Order Proposal to all contractors under the multiple award contracts.

Department of the Navy Comments

The Commanding Officer, responding on behalf of the Naval Facilities Engineering and Expeditionary Warfare Center (NAVFAC EXWC) Acquisition Director (formerly known as SCAN Director), agreed, stating that the NAVFAC EXWC Acquisition Director will establish a procedure to verify that an issuing officer sends the RFTOP to all contractors under a MAC. In addition, NAVFAC EXWC will establish a process to periodically review and report compliance with the new procedure.

2. Notification to all contractors when a solicitation is amended to incorporate significant requirement changes.

Department of the Navy Comments

The Commanding Officer agreed, stating that the NAVFAC EXWC Acquisition Director will establish a procedure to verify that an issuing officer sends a significant amendment to all contractors under a MAC, and establish a process to periodically review and report compliance with the new procedure.

3. Verification that the independent Government cost estimates includes adequate documentation to support cost estimates.

Department of the Navy Comments

The Commanding Officer agreed, stating that the NAVFAC EXWC Acquisition Director will develop a checklist based on minimum IGCE adequacy criteria and required documentation established by the Under Secretary of Defense for Acquisition, Technology, and Logistics. He stated that additional corrective action will include a workshop to assist contracting officers and specialists on methods to evaluate an IGCE for adequacy and reasonableness prior to use in any price or cost analysis.

4. Either preparation of the independent Government cost estimate by Naval Facility Engineering Command personnel or documentation of review and acceptance by Naval Facility Engineering Command personnel of an independent Government cost estimate prepared by a contractor.

Department of the Navy Comments

The Commanding Officer agreed, stating that the NAVFAC EXWC Acquisition Director will work with the EXWC business lines to develop, coordinate and implement appropriate and effective corrective actions.

5. Maintenance of complete contract file supporting documentation for fair and reasonable price determinations.

Department of the Navy Comments

The Commanding Officer agreed, stating that the NAVFAC EXWC Acquisition Director will establish procedures that identify the supporting data required and establish a process to report compliance with the new procedure. In addition, he stated that assistance will be made available to contracting officers and specialist on the types of support data required for fair and reasonable price determinations.

Our Response

Comments from the Commanding Officer were responsive to all recommendations, and no further comments are required.

Finding B. SCAN and NFESC Personnel Need to Improve Surveillance of Task Orders

Contracting officials at SCAN and CORs at NFESC did not perform adequate surveillance on 18 task orders⁴ reviewed, valued at \$100.2 million. Specifically, contracting officials designated one COR to perform surveillance on all task orders issued under each of the three MACs reviewed. In addition, the contracting officials and the CORs did not prepare a QASP for each task order. Finally, the CORs did not perform the duties listed in COR designation letters. Specifically, the CORs did not:

- perform onsite inspections,
- document surveillance of contractor performance,
- document approval of deliverables, and
- review invoices for cost-type contracts where we identified the payment of unsupported other direct costs totaling \$556,590.

This occurred because contracting officers misinterpreted the internal contract administration policy regarding the appointment of CORs, contracting officers and the CORs not understanding QASP requirements, and the CORs relying on unauthorized NAVFAC personnel to perform surveillance functions, including reviewing invoices. In addition, one COR, one alternate COR, and six unauthorized NAVFAC personnel either did not take COR training or did not receive up-to-date COR training. As a result, contracting officials and the CORs did not have assurance that services paid for were received and the Government's interests were adequately protected.

CORs Not Designated for Each Task Order

Contracting officials assigned one COR to be responsible for the surveillance of all task orders awarded under each MAC. The following table on page 11 shows how many task orders were awarded under each MAC at the time of our visit to SCAN in October 2011.

⁴ As of October 2011, contractors had not started work on the remaining two NFELC task orders reviewed under MAC 4.

**Table 1. Total Task Orders Awarded Under Each MAC
as of October 12, 2011**

MAC	Number of IDIQ Contracts Under MAC	MAC Description	Number of Task Orders Awarded	Number of Task Orders Reviewed
MAC 1	4	Antiterrorism Force Protection Equipment Installation and Maintenance	43	6
MAC 2	5	Ocean Facilities Engineering Support Services	91	8
MAC 3	5	Barrier, Mooring, and Marine Facility Support Services	34	4

The contracting officers assigned one COR to each MAC instead of to each task order because they misinterpreted BMS Policy Subsection S-18.3.6.6, “Appoint Contracting Officer’s Representative/Alternate Contracting Officer’s Representative,” April 2011, which states that a contracting officer shall “appoint CORs/ACORs in writing prior to award of a contract action to assist in the technical monitoring or administration of a contract. . . . Only one COR/ACOR may be appointed per contract.” This contradiction in the NAVFAC internal policy caused contracting officials to incorrectly believe that only one COR could be designated for each MAC. In the case of MAC 2, this resulted in one COR being responsible for surveillance on 91 task orders with work being performed worldwide.

FAR 1.602-2, “Responsibilities” clearly states that contracting officers shall appoint a properly trained COR in writing for all contracts and orders “other than those that are firm-fixed price, and for firm-fixed price contracts and orders as appropriate.” CORs serve a critical and vital role in assuring contractors meet the performance requirements of the contract in terms of cost, quality, quantity, schedule, and price. Accordingly, contracting officials should have appointed a COR to each task order. By not appointing a COR to each task order, contracting officials did not have assurance that CORs were providing adequate surveillance over the workload assigned to them to verify NAVFAC was obtaining the services being paid for and that the quality of services met the task order requirements. To correct this condition, SCAN should request a modification to the NAVFAC policy on acquisitions to be consistent with the FAR. Also, SCAN contracting officers should appoint a COR for each task order.

QASPs Not Prepared

Contracting officers and CORs did not prepare QASPs for any of the 18 task orders reviewed, valued at \$100.2 million. FAR Subpart 46.4, “Government Contract Quality Assurance,” states that QASPs should be prepared in coordination with the performance work statement. FAR Subpart 37.6, “Performance-Based Acquisitions,” adds that the performance work statement should include measureable performance standards and the

methodology for assessing contractor performance against performance standards. In addition, FAR Subpart 46.4 states that the QASP should address the frequency of surveillance and the location. The QASP should also identify all work requiring surveillance and the type of surveillance. The surveillance can be performed at any time or location deemed necessary to verify that services conform to contract requirements.

However, CORs stated that they were not aware that a QASP was required, what a QASP was, or how it should be used. For example, the COR for MAC 1 stated that he did not prepare a QASP but stated that the contractor prepared a quality assurance plan. The

CORs stated that they were not aware that a QASP was required, what a QASP was, or how it should be used.

contractor developed a quality assurance plan for its use to ensure that services met the Government's requirement in the performance work statement. However, the quality assurance plan is not the same as a QASP. A QASP is developed by DoD to monitor the quality of a contractor's performance,

provide the COR with a proactive way to avoid unacceptable or deficient performance, and provide verifiable input for future required past performance assessments. Confusing the contractor-prepared quality assurance plan with the DoD-prepared QASP indicates a lack of understanding by the COR on the use of a basic contract surveillance tool. In this regard, the Director of Contracting stated that she was unaware that a QASP was not being used by the CORs and that she did not know why the Contract Review Board had not addressed this area.

Contracting officers, in conjunction with CORs, should develop QASPs before task order award to provide requirements for COR monitoring and reporting of contractor progress and provide instruction for acceptance of contract deliverables. In addition, the contracting officer and COR should develop a QASP that provides measurable metrics to evaluate contractor performance and that will provide set time frames for frequency of reporting relevant to the subject contract. Also, the QASP should identify who has responsibility for surveillance, and be signed and dated before the start of the task order performance period.

CORs Did Not Perform Surveillance as Delegated and NAVFAC Personnel Performed Surveillance Without Proper Authority

CORs did not perform surveillance as delegated on the 18 task orders reviewed, valued at \$100.2 million. The three CORs assigned to each of the three MACs did not perform the duties listed in the COR designation letter. Specifically, they did not perform onsite

CORs did not perform surveillance as delegated on the 18 task orders reviewed, valued at \$100.2 million.

inspections, document surveillance of contractor performance, document approval of deliverables, or review cost-type invoices.

Generally, the COR designation letters

required the COR to periodically monitor the contractor's performance to ensure that charges were correct, review and provide comments on contractor's progress reports, and certify in writing their inspections and acceptance of the services performed.

SECTION SF 30 BLOCK 14 CONTINUATION PAGE

SUMMARY OF CHANGES

Block 14 (Description of Amendment/Modification): The purpose of this amendment is to:

- 1) extend submission deadline from July 17, 2026 to July 31, 2026;
- 2) provide a disclosure of magnitude between \$5,000,000 and \$10,000,000; and,
- 3) attach the following applicable documents:
 - AD 21: Conceptual Layout Plan,
 - AD 22: Area Site Plan, and
 - AD 23: Site Utility Plan.

All other terms and conditions remain unchanged.

Section A - Solicitation/Contract Form

The following changes have been made:

INFORMATION	FROM	TO
Contract Description	PROJECT TITLE AND DESCRIPTION: B162 Consolidated Secure Facility Proposal Due: 17 July 2026 at 2:00PM EST, Email to Amy.K.Prisco.civ@us.navy.mil and Michael.N.Ouellette.civ@us.navy.mil NOTE: Offeror MUST be registered in the System for Award Management (SAM) to be considered for award. Bid Guarantee is also required to be considered for award. Method of Payment: Electronic Payment through Wide Area Workflow (WAWF) will be used. This requirement is 100% small business set aside, NAICS 236220; \$45 million SITE VISIT DATE and TIME: 7 July 2026 at 10:00AM EST, Meet at Building 80 NUWC Division Newport. Please allow for sufficient time to process site visit request. See Section A "SITE VISIT INSTRUCTIONS" for complete details. IMPORTANT: PLEASE NOTE THAT TECHNICAL INFORMATION IS REQUIRED WITH SUBMISSION OF OFFER. PLEASE SEE SECTIONS L AND M FOR SPECIFIC REQUIREMENTS. OFFERORS NOT SUBMITTING THIS INFORMATION RISK BEING EXCLUDED FROM CONSIDERATION FOR AWARD.	PROJECT TITLE AND DESCRIPTION: B162 Consolidated Secure Facility Proposal Due: 31 July 2026 at 2:00PM EST, Email to Amy.K.Prisco.civ@us.navy.mil and Michael.N.Ouellette.civ@us.navy.mil NOTE: Offeror MUST be registered in the System for Award Management (SAM) to be considered for award. Bid Guarantee is also required to be considered for award. Method of Payment: Electronic Payment through Wide Area Workflow (WAWF) will be used. This requirement is 100% small business set aside, NAICS 236220; \$45 million SITE VISIT DATE and TIME: 7 July 2026 at 10:00AM EST, Meet at Building 80 NUWC Division Newport. Please allow for sufficient time to process site visit request. See Section A "SITE VISIT INSTRUCTIONS" for complete details. IMPORTANT: PLEASE NOTE THAT TECHNICAL INFORMATION IS REQUIRED WITH SUBMISSION OF OFFER. PLEASE SEE SECTIONS L AND M FOR SPECIFIC REQUIREMENTS. OFFERORS NOT SUBMITTING THIS INFORMATION RISK BEING EXCLUDED FROM CONSIDERATION FOR AWARD. Disclosure of Magnitude: Between \$5,000,000 and \$10,000,000
Response Due Date	17 Jul 2026	31 Jul 2026

Section J - List of Attachments

The following attachments were added:

Attachment 10 - AD 22 Area Site Plan_3 12 2025

Attachment 11 - AD 23 Site Utility Plan_3 12 2025

Attachment 9 - AD 21 Conceptual Layout Plan_17 11 2025

Miscellaneous text in this section has been modified to:

Attachment 1 - Statement of Work

Attachment 2 - Wage Determination

Attachment 3 - Soil Management Plan

Attachment 4 - DD254 Contract Security Classification Checklist

Attachment 5 - Key Personnel

Attachment 6 - Hazardous Material Usage Log

Attachment 7 - Generator Usage Log

Attachment 8 - Site Visit Instructions

Attachment 9 - AD 21 Conceptual Layout Plan_17 11 2025

Attachment 10 - AD 22 Area Site Plan_3 12 2025

Attachment 11 - AD 23 Site Utility Plan_3 12 2025

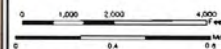
NAVSTA Newport

Commander Navy Region
Mid-Atlantic GeoReadiness
Center

Legend

- Gates
- Base Boundary
- Existing Structures
- Ammunition Storage Area
- Fence Line
- Runway
- Taxiway
- Helipad
- Apron
- Shoulder Overrun
- Aircraft Parking Area
- Railroad
- Golf Course
- Playground
- Swimming Pool
- Athletic Court
- Athletic Field
- Existing Piers
- Drydock

Print Date: 10 Oct, 2021



Coordinate System: NAD83 for US (Zone 17 N)

GeoReadiness Center

AM-OS Mid-Atlantic
Norfolk, VA 23511
(757) 444-3013



This map is generated from data contained in the Online GeoReadiness Center (OGC). The information contained in OGC is not to be interpreted or used as a "right description" nor is it a survey grade. Plans and maps from this database are intended to be accurate but accuracy is not guaranteed and the burden for determining accuracy, completeness and appropriateness for use rests solely on the user accessing this information. The user acknowledges and accepts all inherent limitations of the map and data, including the fact that they are dynamic and in a constant state of maintenance, correction and revision. Data changes should be indicated if field verification or additional information is needed.

This material is For Official Use Only. Reproduction, distribution, publication, or exhibition of this data is strictly prohibited without the written consent of the CDRMA.

For a full list of data sources or to access the OGC, please visit our website on the NAVFAC portal.

Page 100
Copyright 2021 by the GeoReadiness Center, Norfolk, VA

Department of the Navy Comments



DEPARTMENT OF THE NAVY
NAVAL FACILITIES ENGINEERING COMMAND
1322 PATTERSON AVENUE, SE SUITE 1000
WASHINGTON NAVY YARD DC 20374-5065

5040
Ser 09IG/033
01 Oct 2012

SECOND ENDORSEMENT on NFEXWC ltr 5041 Ser 09/270 of 27 Sep 12

From: Commander, Naval Facilities Engineering Command
To: Naval Inspector General

Subj: RESPONSE TO RECOMMENDATIONS OF DEPARTMENT OF DEFENSE
OFFICE OF THE DEPUTY INSPECTOR GENERAL FOR AUDITING-AWARD
AND ADMINISTRATION OF MULTIPLE AWARD CONTRACTS AT NAVAL
FACILITIES ENGINEERING COMMAND SPECIALTY CENTERS NEED
IMPROVEMENT (PROJECT NO. D2011-DOOOCF-0276.000)

1. Forwarded with NAVFAC Headquarters' concurrence.

2. The NAVFAC Headquarters' point of contact is [REDACTED]
[REDACTED] can be reached at [REDACTED] or by
email at [REDACTED]


S. L. SIMS
Captain, CEC, U.S. Navy
Inspector General

Copy to:
NFEXWC



DEPARTMENT OF THE NAVY
NAVAL FACILITIES ENGINEERING AND EXPEDITIONARY WARFARE CENTER
1000 23RD AVENUE
PORT HUENEME CA 93043-4301

IN REPLY REFER TO
5041
Ser 09/270
27 Sep 12

From: Commanding Officer, Naval Facilities Engineering and Expeditionary Warfare Center
To: Inspector General of the Department of Defense
Via: Commander, Naval Facilities Engineering Command (IG)

Subj: RESPONSE TO RECOMMENDATIONS OF DEPARTMENT OF DEFENSE OFFICE OF THE DEPUTY INSPECTOR GENERAL FOR AUDITING - AWARD AND ADMINISTRATION OF MULTIPLE AWARD CONTRACTS AT NAVAL FACILITIES ENGINEERING COMMAND SPECIALTY CENTERS NEED IMPROVEMENT (PROJECT NO. D2011-D000CF-0276.000)

Ref: (a) Award and Administration of Multiple Award Contracts at Naval Facilities Engineering Command Specialty Centers Need Improvement (Project No. D2011-D000CF-0276.000)

Encl: (1) Recommendation Responses to Project No. D2011-D000CF-0276.000 (Draft Report)

1. For clarification, in regard to identification in the draft report of the Director, Specialty Center Acquisitions (SCAN) and the Naval Facilities (NAVFAC) Engineering Service Center, effective 1 October 2012, the NAVFAC Engineering and Expeditionary Warfare Center (NAVFAC EXWC) has been established and these two entities are now part of this organization. The former SCAN is now the Acquisition Department of NAVFAC EXWC.

2. We have carefully considered the recommendations set forth in reference (a). All findings and recommendations are agreed with and enclosure (1) provides details regarding actions to be taken, including completion dates for each identified recommendation.

3. [REDACTED] is my point of contact for this matter. He may be reached at [REDACTED] or e-mail: [REDACTED]


D. A. REYNARD
By direction

NAVFAC ENGINEERING & EXPEDITIONARY WARFARE CENTER RESPONSES		DOD IG PROJECT NO. D2011-D00CF-027.000 (DRAFT REPORT)	
Recommendation	Agree/Disagree	Corrective Action(s)	Anticipated Completion Date(s)
A.1 Procedures should be established that require verification that the contracting officer sends the Request for Task Order Proposal to all contractors under the multiple award contracts.	Agree	NAVFAC Engineering and Expeditionary Warfare Center (EXWC) Acquisition Director, formerly known as The Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, will issue guidance to all NAVFAC EXWC ACQ employees relative to all IDIQ/MAC contracts (i) summarizing the reported condition, (ii) EXWC will establish a procedure verifying that the issuing officer sent the RPTOP to all contractors under the IDIQ/MAC, and establish a process to periodically review and report compliance with the new procedure.	Guidance issued 1 st QTR FY13 Compliance Testing to Begin no later than 2 nd QTR FY13
A.2 Procedures should be established that require notification to all contractors when a solicitation is amended to incorporate significant requirement changes.	Agree	NAVFAC EXWC Acquisition Director, will issue guidance to all acquisition employees relative to all IDIQ/MAC contracts (i) summarizing the reported condition, (ii) Acquisition's will establish a procedure verifying that the issuing officer sent the significant amendment to all contractors under the IDIQ/MAC, and establish a process to periodically review and report compliance with the new procedure.	Guidance issued 1 st QTR FY13 Compliance Testing to Begin no later than 2 nd QTR FY13
A.3 Procedures should be established that require verification that the Independent Government Cost Estimate include adequate documentation to support cost estimates.	Agree	NAVFAC EXWC Acquisition Director, will issue guidance to all acquisition employees (i) summarizing the reported condition, (ii) establishing an adequacy checklist based on AT&L minimum IGE adequacy criteria and required documentation, and (iii) establishing a periodic process to report compliance with the new procedure. Corrective action will also include a workshop to assist contracting officers and specialist on how to evaluate an IGE for adequacy and reasonableness prior to use in any price or cost analysis.	Guidance issued 1 st QTR FY13 Compliance Testing to Begin no later than 2 nd QTR FY13
A.4 Procedures should be established that require either (i) preparation of the independent government cost estimate by Naval Facilities Engineering Command personnel or (ii) documentation of review and acceptance by Naval Facilities Engineering Command personnel of an independent government cost estimate prepared by a contractor.	Agree	NAVFAC EXWC Acquisition Director will work with the EXWC Business Lines to develop, coordinate and implement the appropriate and effective corrective actions.	Guidance issued 1 st QTR FY13 Compliance Testing to Begin no later than 2 nd QTR FY13
A.5 Procedures should be established that require maintenance of complete contract file supporting documentation for fair and reasonable price determinations.	Agree	NAVFAC EXWC Acquisition Director will issue a formal memorandum to all acquisition employees (i) summarizing the reported condition, (ii) establishing procedures which identify the type and format of supporting data required and maintenance processes and (iii) establishing a periodic process to report compliance with the new procedure. Corrective action will also include a workshop to assist contracting officers and specialist on the types and kinds of supporting data required to support fair and reasonable price determinations.	Guidance issued 1 st QTR FY13 Compliance Testing to Begin no later than 2 nd QTR FY13
B.1.3 We recommend that the Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require Contracting Officers to appoint a	Agree	NAVFAC EXWC Acquisition and EXWC Business Lines will develop, coordinate and implement the appropriate and effective corrective actions. In the interim, we will submit a corrective action request to initiate an update to the NAVFAC Business Management System	2 nd QTR FY13

1
Enclosure (i)

NAVFAC ENGINEERING & EXPEDITIONARY WARFARE CENTER RESPONSES	DOD IG PROJECT NO. D2011-000CF-027.000 (DRAFT REPORT)	Anticipated Completion Date(s)
Recommendation contracting officer's representative for each task order and distinguish between their duties and the Navy technical representative duties. 8.1.b We recommend that the Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require Contracting Officers and contracting officer's representatives to sign and date quality assurance surveillance plans before the start of task order performance period. 8.1.c We recommend that the Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require Contracting Officer's and Contracting Officer's Representatives to develop quality assurance surveillance plan that provide measurable metrics to evaluate contractor performance and provide set timeframes for frequency of reporting relevant to the subject contract. The quality surveillance plan should identify who has responsibility for surveillance and the level of reporting by the Contracting Officer's Representative to the Contracting Officer.	Corrective Action(s) (BWS) 5-18.3.6.6 (Appoint Contracting Officers Representative/Alternate Contracting Officer's Representative) consistent with the FAR. We will review COR and NTR duties and responsibilities and make appropriate adjustments to these assignments. Also see B4. NAVFAC EXWC Acquisition and EXWC Business Lines will develop, coordinate and implement the appropriate and effective corrective actions. We will ensure task order pre-award check lists are updated to include a check by contract specialist/contracting officer to ensure quality surveillance plans are signed prior to the start of task order performance period. NAVFAC EXWC Acquisition will provide EXWC COR's with link to the business management system process (B14.3 Performance Assessment) and work with COR's to develop appropriate metrics for inclusion in the plans, and set timeframes for frequency of reporting. We will work with the COR's to develop quality assurance templates for each of the multiple award IDIQ contracts. The QASP will: - Contain metrics to evaluate contractor performance - Include timely feedback of performance improvement - Clearly identify responsibility for surveillance and level of reporting - Document inspection and acceptance - Outline the COR's documentation of surveillance performed and report to the Contracting Officer We will establish a process to periodically review and report compliance with this requirement. NAVFAC EXWC Acquisition and EXWC Business Lines will develop, coordinate and implement the appropriate and effective corrective actions. NAVFAC EXWC Acquisition and EXWC Business Lines will coordinate and implement the appropriate and effective corrective actions. COR's will be instructed to report surveillance consistent with recommendations and corrective actions identified in B.1.c above.	2nd QTR FY13 2nd QTR FY13 2nd QTR FY13
8.1.d We recommend that the Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require Contracting Officer's Representatives to document support for inspection and acceptance of deliverables. The approval should clearly identify the type of review performed and basis for the approval. 8.1.e We recommend that the Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require Contracting Officer's Representatives	Agree Agree Agree	2nd QTR FY13 2nd QTR FY13 2nd QTR FY13

NAVFAC ENGINEERING & EXPEDITIONARY WARFARE CENTER RESPONSES	DOD IG PROJECT NO. D2011-000CF-027,000 (DRAFT REPORT)		
Recommendation	Agree/Disagree	Corrective Action(s)	Anticipated Completion Date(s)
need to document surveillance performed and report progress to the Contracting Officer.			
B.1.f We recommend that the Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require Contracting Officers to appoint a Navy Technical Representative, if needed, in writing with responsibilities and duties for oversight.	Agree	NAVFAC EXWC Acquisition and EXWC Business Lines will develop, coordinate and implement the appropriate and effective corrective actions. NTR's will be appointed in writing with specific duties and responsibilities in accordance with Business Management System (BMS) S-18.3.6.6 (Appoint Contracting Officers Representative/Alternate Contracting Officer's Representative).	2 nd QTR FY13
B.1.g We recommend that the Director, Specialty Center Acquisitions, Naval Facilities Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require Contracting Officer's Representatives, Alternate Contracting Officer Representatives, and Navy Technical Representatives obtain required training on surveillance responsibilities.	Agree	NAVFAC EXWC Acquisition and EXWC Business Lines will coordinate and implement the appropriate and effective corrective actions. In the interim, we will ensure that the contracting officer's representative, alternate contracting officer's representative, and Navy technical representative complete the required training – NAVFAC is now using the Army's Contracting Officer's Representative Tool (CORT). Utilizing the CORT should assist in ensuring that the contracting officer's representative, alternate contracting officer's representative, and Navy technical representative possess all current and required training and experience before assignment.	3 rd QTR FY13
B.2 We recommend the Director, Specialty Center Acquisition, Naval Facilities Engineering Command, require a review of the performance of the Contracting Officers and the Contracting Officer's Representatives involved with these task orders. As appropriate, determine whether administrative action is warranted.	Agree	NAVFAC EXWC will review the IG recommendation and discern the appropriate actions warranted.	2 nd QTR FY13
B.3 We recommend the Director, Specialty Center Acquisition, Naval Facilities Engineering Command, require the Contracting Officers to initiate action to recover unsupported other direct costs of \$556,590 unless detailed cost support documentation is provided for: b. \$17,161 on task order 6 under contract N62583-09-D-0065 c. \$3,799 on task order 8 under contract N62583-09-D-0067 d. \$54,707 on task order 3 under contract N62583-09-D-0068 e. \$13,623 on task order 31 under contract N62583-09-D-0064 f. \$17,784 on task order 34 under contract N62583-09-D-0064 g. \$4,634 on task order 9 under contract N62583-09-D-0067 h. \$21,634 on task order 10 under contract N62583-09-D-0067	Agree	A NAVFAC EXWC contracting officer and contract specialist will be assigned to review each of the exceptions, and either (i) document the data which supports the allowability, allocability and reasonableness of the billed amounts or (ii) proceed to process for recovery any unsupported billed amounts	1 st / 2 nd QTR FY13

Exhibit No.	Description
10(b)	Note Purchase Agreement dated March 12, 2002 between Lincoln Electric Holdings, Inc. and The Lincoln Electric Company and the Purchasers listed in Schedule A thereof. (filed as Exhibit 10(q) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(c)	Amended and Restated Note Purchase and Private Shelf Agreement between Lincoln Electric Holdings, Inc., The Lincoln Electric Company and The Prudential Insurance Company of America dated as of April 30, 2002. (filed as Exhibit 10(v) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended June 30 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(d)	Lincoln Electric Holdings, Inc. 1998 Stock Option Plan (filed as Annex F to the Registration Statement on Form S-4 of Lincoln Electric Holdings, Inc., Registration No. 333-50435, filed on April 17, 1998, incorporated herein by reference and made a part hereof).
10(e)	The Lincoln Electric Company 1988 Incentive Equity Plan (filed as Exhibit 28 to the Form S-8 Registration Statement of The Lincoln Electric Company, SEC File No. 33-25209 and incorporated herein by reference and made a part hereof) as adopted and amended by Lincoln Electric Holdings, Inc. pursuant to an Instrument of Adoption and Amendment dated December 29, 1998 (filed as Exhibit 10(d) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(f)	Form of Indemnification Agreement (filed as Exhibit A to The Lincoln Electric Company 1987 Proxy Statement, SEC File No. 0-1402, and incorporated herein by reference and made a part hereof).
10(g)	Amended and Restated Lincoln Electric Holdings, Inc. Supplemental Executive Retirement Plan, as amended (filed as Exhibit 10(u) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(h)	Amended and Restated Lincoln Electric Holdings, Inc. Deferred Compensation Plan dated January 1, 2002 (filed as Exhibit 10(s) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(i)	Description of Management Incentive Plan (filed as Exhibit 10(e) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1995, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(j)	Description of Long Term Performance Plan (filed as Exhibit 10(f) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1997, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).

Exhibit No.	Description
10(k)	Description of Non-Employee Directors' Restricted Stock Plan (filed as Exhibit 10(f) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1995, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof) as adopted by Lincoln Electric Holdings, Inc. pursuant to an Instrument of Adoption dated December 29, 1998 (filed as Exhibit 10(j) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(l)	The Lincoln Electric Company Non-Employee Directors' Deferred Compensation Plan (filed as Exhibit 10(g) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1995, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof) as amended by Amendment No. 1 dated as of December 29, 1998 (filed as Exhibit 10(k) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(m)	Letter of Employment between Anthony A. Massaro and Lincoln Electric Holdings, Inc. dated March 7, 2000 (filed as Exhibit 10(k) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1999, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(n)	Summary of Employment Agreements (filed as Exhibit 10(l) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1999, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(o)	The Lincoln Electric Company Executive Benefit Plan (filed as Exhibit 10(l) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1997, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof), as amend by Amendment No. 1 dated January 1, 2002 (filed as Exhibit 10(t) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(p)	Form of Severance Agreement (as entered into by the Company and the following executive officers: Mssrs. Massaro, Stropki, Elliott, Stueber and Vogt) (filed as Exhibit 10 to Form 10-Q of Lincoln Electric Holdings, Inc. for the nine months ended September 30, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(q)	Form of Amendment 1 to Severance Agreement (as entered into by the Company and the following executive officers: Messrs. Stropki and Stueber) (filed as Exhibit 10(o) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1999, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(r)	Stock Option Plan for Non-employee Directors (filed as Exhibit 10(p) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2000, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
21	Subsidiaries of the Registrant.

Exhibit No.	Description
23	Consent of Independent Auditors.
24	Powers of Attorney.
99(1)	Certification pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
(b)	The Company did not file any reports on Form 8-K during the fourth quarter of 2002.
(c)	The exhibits which are listed under Item 15 (a) (3) are filed in a separate section of the report following the signature pages or incorporated by reference herein.
(d)	The financial statement schedule which is listed under item 15 (a) (2) is filed in a separate section of the report following the signature page and certifications.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

LINCOLN ELECTRIC HOLDINGS, INC.
(Registrant)

By: /s/ H. JAY ELLIOTT
H. Jay Elliott, Senior Vice President,
Chief Financial Officer and Treasurer
(principal financial and accounting officer)
February 14, 2003

Pursuant to the requirements of the Securities Exchange Act of 1934, this report has been signed below by the following persons on behalf of the registrant and in the capacities and on the dates indicated.

/s/ ANTHONY A. MASSARO
Anthony A. Massaro, Chairman of the
Board, President and Chief Executive
Officer (principal executive officer)
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott, Senior Vice President,
Chief Financial Officer and Treasurer
(principal financial and accounting officer)
February 14, 2003

/s/ JOHN M. STROPKI
John M. Stropki, Director of the
Company, Executive Vice President,
President North America
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
HAROLD ADAMS
Harold Adams, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
DAVID C. LINCOLN
David C. Lincoln, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
HARRY CARLSON
Harry Carlson, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
G. RUSSELL LINCOLN
G. Russell Lincoln, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
RANKO CUCUZ
Ranko Cucuz, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
KATHRYN JO LINCOLN
Kathryn Jo Lincoln, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
DAVID H. GUNNING
David H. Gunning, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
HENRY L. MEYER III
Henry L. Meyer III, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
EDWARD E. HOOD, JR
Edward E. Hood, Jr., Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
HELLENE S. RUNTAGH
Hellene S. Runtagh, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
PAUL E. LEGO
Paul E. Lego, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as
Attorney-in-fact for
FRANK L. STEINGASS
Frank L. Steingass, Director
February 14, 2003

Certification Pursuant to Section 302 of the Sarbanes-Oxley Act of 2002

I, Anthony A. Massaro , Chairman, President and Chief Executive Officer of Lincoln Electric Holdings, Inc., certify that:

1. I have reviewed this annual report on Form 10-K of Lincoln Electric Holdings, Inc.;
2. Based on my knowledge, this annual report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this annual report;
3. Based on my knowledge, the financial statements, and other financial information included in this annual report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this annual report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-14 and 15d-14) for the registrant and we have:
 - a) designed such disclosure controls and procedures to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this annual report is being prepared;
 - b) evaluated the effectiveness of the registrant's disclosure controls and procedures as of a date within 90 days prior to the filing date of this annual report (the "Evaluation Date"); and
 - c) presented in this annual report our conclusions about the effectiveness of the disclosure controls and procedures based on our evaluation as of the Evaluation Date;
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation, to the registrant's auditors and the audit committee of registrant's board of directors (or persons performing the equivalent function):
 - a) all significant deficiencies in the design or operation of internal controls which could adversely affect the registrant's ability to record, process, summarize and report financial data and have identified for the registrant's auditors any material weaknesses in internal controls; and
 - b) any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal controls; and
6. The registrant's other certifying officer and I have indicated in this annual report whether or not there were significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of our most recent evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Date: February 14, 2003

/s/ Anthony A. Massaro

Anthony A. Massaro
Chairman, President and Chief Executive Officer

Certification Pursuant to Section 302 of the Sarbanes-Oxley Act of 2002

I, H. Jay Elliott, Senior Vice President, Chief Financial Officer and Treasurer of Lincoln Electric Holdings, Inc., certify that:

1. I have reviewed this annual report on Form 10-K of Lincoln Electric Holdings, Inc.;
2. Based on my knowledge, this annual report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this annual report;
3. Based on my knowledge, the financial statements, and other financial information included in this annual report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this annual report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-14 and 15d-14) for the registrant and we have:
 - a) designed such disclosure controls and procedures to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this annual report is being prepared;
 - b) evaluated the effectiveness of the registrant's disclosure controls and procedures as of a date within 90 days prior to the filing date of this annual report (the "Evaluation Date"); and
 - c) presented in this annual report our conclusions about the effectiveness of the disclosure controls and procedures based on our evaluation as of the Evaluation Date;
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation, to the registrant's auditors and the audit committee of registrant's board of directors (or persons performing the equivalent function):
 - a) all significant deficiencies in the design or operation of internal controls which could adversely affect the registrant's ability to record, process, summarize and report financial data and have identified for the registrant's auditors any material weaknesses in internal controls; and
 - b) any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal controls; and
6. The registrant's other certifying officer and I have indicated in this annual report whether or not there were significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of our most recent evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Date: February 14, 2003

/s/ H. Jay Elliott

H. Jay Elliott
Senior Vice President, Chief Financial Officer and
Treasurer

ANNUAL REPORT ON FORM 10-K

ITEM 8, ITEM 15(a)(1) AND (2) AND ITEM 15(c) AND 15(d)

FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA

FINANCIAL STATEMENT SCHEDULES

CERTAIN EXHIBITS

YEAR ENDED DECEMBER 31, 2002

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES

REPORT OF INDEPENDENT AUDITORS

Shareholders and Board of Directors
Lincoln Electric Holdings, Inc.

We have audited the accompanying consolidated balance sheets of Lincoln Electric Holdings, Inc. and subsidiaries as of December 31, 2002 and 2001, and the related consolidated statements of income, shareholders' equity and cash flows for each of the three years in the period ended December 31, 2002. Our audits also included the financial statement schedule listed in the Index at Item 15 (a)(2). These financial statements and schedule are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements and schedule based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of Lincoln Electric Holdings, Inc. and subsidiaries at December 31, 2002 and 2001, and the consolidated results of their operations and their cash flows for each of the three years in the period ended December 31, 2002, in conformity with accounting principles generally accepted in the United States. Also, in our opinion, the related financial statement schedule, when considered in relation to the basic financial statements taken as a whole, presents fairly in all material respects, the information set forth therein.

As discussed in Note A to the consolidated financial statements, effective January 1, 2002, the Company adopted Statement of Financial Accounting Standards No. 142, "Goodwill and Other Intangible Assets".

/s/ ERNST & YOUNG LLP

Cleveland, Ohio
January 29, 2003

CORs, or their authorized representatives, should request, review, and maintain receipts to verify the validity of charges billed for other direct costs. The lack of supporting documentation for invoices increased the risk for improper payment. Contracting officials should obtain supporting documentation or recover the unsupported other direct costs of \$556,590 that have been paid to the contractors and should verify all other direct cost charges on the 10 cost-type task orders reviewed.

Conclusion

CORs did not perform adequate surveillance on the 18 task orders reviewed. Specifically, contracting officials and CORs did not prepare QASPs for the task orders. In addition, contracting officials did not designate a COR for each task order and did not officially appoint NTRs who assisted with surveillance. Also, CORs did not conduct onsite surveillance, did not document surveillance, did not review invoices, and did not document approval of deliverables. As a result, NAVFAC cannot be assured that the contractors were in full compliance with contract and task order requirements and that NAVFAC fully received the services being paid for.

Recommendations, Management Comments, and Our Response

B.1. We recommend that the Director, Specialty Center Acquisition, Naval Facility Engineering Command, in coordination with the Commander, Naval Facilities Engineering Service Center, require:

a. Contracting officers to appoint a contracting officer's representative for each task order and distinguish between their duties and the Navy technical representative duties.

Department of the Navy Comments

The Commanding Officer, responding on behalf of both the NAVFAC EXWC Acquisition Director (formerly known as SCAN Director) and the EXWC Business Lines (formerly known as NFELC and NFESC), agreed, stating that a corrective action request will be developed to initiate an update to the NAVFAC Business Management System (BMS) S-18.3.6.6 (Appoint Contracting Officers Representative/Alternative Contracting Officer's Representative) guidance. In addition, he stated that NAVFAC EXWC and its business lines will make appropriate adjustments to COR and NTR assignments.

b. Contracting officers and contracting officer's representatives to sign and date quality assurance surveillance plans before the start of the task order performance period.

Department of the Navy Comments

The Commanding Officer agreed, stating that NAVFAC EXWC will ensure task order pre-award checklists are updated to include a check by a contract specialist or contracting officer to ensure quality assurance surveillance plans are signed before the start of task order performance period.

NUWCDIVNPT VISITOR REQUEST INFORMATION NEEDED:

****Information must be on Company Letterhead****

- 1) Company/Organization Name, Address, Telephone, and FAX Number
- 2) Cage Code
- 3) Visitor(s) Full Name (As it appears on government issued ID – i.e. Driver's License)
- 4) Visitor(s) Full Social Security Number
- 5) Visitor(s) Date of Birth
- 6) Visitor(s) Place of Birth (City & State)
 - a. If born outside the U.S, you MUST provide a Naturalization Number or US Passport
- 7) Visitor(s) Citizenship
- 8) Level of Clearance: UNCLASSIFIED or as appropriate
 - a. SCI Level Access MUST be coordinated SSO to SSO
- 9) Do they possess a CAC, Teslin or DBIDs Card? (Yes or No)
 - a. Please specify which visitor(s) have CAC, Retired Military/Dependent ID, DBIDS, or NOT APPLICABLE
- 10) NUWCDIVNPT Point of Contact (Sponsor)
 - a. MUST be a NUWC Government Employee
- 11) Specific Date(s) of Visit, to include Year
- 12) Purpose of Visit
- 13) Contract Number, if applicable
 - a. If NO Contract Number is provided, then the visit will be for 30 days at the UNCLASSIFIED Level
- 14) Authorized Signature:
 - a. Name, Title, Signature, and Date of Requesting Company/Organization Authorizing Official (MUST be aUS Citizen)
 - b. Smaller companies that do not have a Security Officer to sign may use another Official or Secretary.
 - c. Individuals MUST NOT Sign their own request

Submit Visitor Request(s) and/or SECNAV form(s) 5512/1 via:

- **JPAS SMO CODE:** 666045 (If no access to JPAS, use methods below)
- **EMAIL FORM TO:** nuwc_npt_access_control@navy.mil
- ☐ **FAX FORM TO:** (401) 832-4396

****ALL INCOMPLETE VISIT REQUESTS WILL BE DENIED****

Please call NUWC visitor control at (401) 832-2152 if you want to verify any visits or status on vetting.